

Misselling in Financial Advice under Universal Banking

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Abstract

Outside the United States, universal banks command a large share of the retail financial advice market. Because these banks are vertically integrated with asymmetric profit margins across products, conflicts of interest originate organizationally rather than solely from individual advisor incentives. Exploiting performance contract architecture design and transaction data from a major Chinese bank, we show how banks translate profit objectives into advisor incentives through shadow commissions and career-based pressures. This generates episodic misselling spikes, intensifying when advisors face performance shortfalls, peer competition, or promotion opportunities, but deterred by client complaints and bank competition. Under pressure, advisors strategically target inexperienced clients, private banking clients, and male clients served by female advisors. We conclude that advisor independence is essential to break the profit-to-bias chain, and pressure-point monitoring is more effective than routine audits. We also discuss institutional obstacles to such reforms in bank-dominated systems.

Keywords: Financial advisors; Universal banks; Misselling; Conflicts of interest; Performance contracts

JEL Classification: G21; D86; M52

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1 Introduction

The market for retail financial advice is large and growing, and the quality of advice remains a central debate in the finance literature (see [Reuter and Schoar \(2024\)](#) for a review). A prominent line of research documents that conflicts of interest lead advisors to steer clients toward high-commission products (misselling), resulting in underperformance of advisor-managed investments (e.g., [Inderst and Ottaviani, 2009](#); [Hoechle, Ruenzi, Schaub, and Schmid, 2018](#); [Egan, 2019](#)).¹

However, outside the U.S., universal banks command a large share of the retail financial advice market ([Burke and Hung, 2015](#)).² Universal banks are vertically integrated, participating in the entire value chain from product design to distribution. Their internal product menus embed substantial asymmetric profitability across instruments ([Fecht, Hackethal, and Karabulut, 2018](#); [Hoechle, Ruenzi, Schaub, and Schmid, 2017](#)). Conflicts thus exist not only “at the point of sale” but also “at the point of production”. Financial advisors are formal employees, creating a nested double-agency problem: banks must balance their fiduciary duty to shareholders against client welfare, while advisors navigate the competing interests of their employer, clients, and compensation. This multi-layered conflict structure differs fundamentally from the advisor-level incentives emphasized in the fragmented advisory market literature.

Exploiting confidential internal performance contract architecture design and transaction-level data from a major Chinese universal bank (hereafter “*The Bank*”), we uncover how banks translate organizational profit objectives into frontline advisor incentives and demonstrate how this mechanism generates episodic misselling spikes.

We document a two-fold translation mechanism. First, banks translate product-level profit asymmetries into “shadow commissions” by weighting internal performance points

¹Recent regulatory reforms—most notably the SEC’s Regulation Best Interest (Reg BI) in the U.S. (2019) and MiFID II in the European Union (2018)—have sought to strengthen the governance of conflicts of interest by curbing inducements, elevating disclosure standards, and enhancing conduct-of-business requirements to better align advisor incentives with client welfare.

²The fragmented U.S. advisory model differs from integrated bank-led systems in Europe and Asia. In the U.S., advice comes from FINRA-regulated broker-dealers or Registered Investment Advisers (RIAs). By contrast, 42% of Europeans receive advice directly from banks, and 28% from intermediaries. Banks’ client share reaches 76% in Italy, 30% in France ([Burke and Hung, 2015](#)), and 97% in Israel ([Sokolinski, 2023](#)). The U.K. and Australia underwent structural reforms, i.e., the Retail Distribution Review (RDR, 2013) and Future of Financial Advice (FOFA, 2013), reducing bank dominance but creating an “advice gap” ([Reuter and Schoar, 2024](#)).

by product profitability. Second, banks amplify steering incentives through non-linear performance contracts that create state-dependent career pressures. We examine three mechanisms: sales quotas, peer pressure, and promotion thresholds. Unlike linear commission schemes in independent advisor systems, shadow commissions and performance contracts interact dynamically with an advisor’s performance state, generating state-dependent variation in misselling.

To trace the dynamics of misselling, the primary empirical challenge is cleanly identifying deliberate misselling. Our empirical setting provides a unique advantage in this regard. Throughout our sample period, the Chinese wealth management products (WMPs)³ market operated under a regime of “implicit guarantees”. That is, despite prospectus wording suggesting otherwise, these products feature “expected” returns that are implicitly guaranteed in practice. Because implicit guarantees render returns virtually predictable ex ante, advisor forecasting skill becomes irrelevant. An ethical advisor should direct clients to the highest-yield product within the same type and maturity. Conversely, steering clients toward lower-return products constitutes unequivocal misselling.

For these WMPs, *The Bank* (like most Chinese banks) effectively determines how expected total returns are split between the bank and the client. Each WMP has an expected total return reflecting the underlying asset performance. *The Bank* sets the client-facing return, implicitly guarantees it, and retains the residual as profit. Conditional on a given total return, the bank’s margin decreases mechanically with the client’s guaranteed return. Critically, banks have incentives to promote products that maximize institutional margins rather than client returns.

The Bank aligns advisor behavior with its objective to maximize returns through a “shadow commission” mechanism: advisors earn performance points proportional to *The Bank*’s profit margin rather than clients’ returns on each sale. These are not di-

³WMPs are asset-backed vehicles pooling investor funds into money market instruments, bonds, and equities. Chinese banks distributing WMPs typically guarantee both principal and expected returns regardless of underlying performance. These products are attractive for banks because they circumvent regulatory constraints on deposits and can be structured off-balance-sheet. The implicit guarantee keeps banks competitive and protects their reputation. Relying on bank credibility, retail investors accept below-market risk premia on WMPs, treating them as risk-free, high-return deposit substitutes. WMPs are the most popular investment vehicle among Chinese retail investors and constitute a significant, often the largest, component of retail services in many Chinese banks.

rect monetary commissions but aggregate across product sales, client acquisition, and assets under management into a composite score. Advisors must meet monthly quotas based on this score to qualify for bonuses and avoid sanctions. This shadow commission system constitutes the first layer that translates organizational conflicts of interest into frontline advisor incentives. A second layer of distortion arises from *The Bank's* career-based performance contract design that heightens advisors' career concerns. It imposes monthly sales quotas, encourages peer ranking, and sets promotion thresholds—all tied to performance points.

These two layers (shadow commissions and performance-contract design) interact with an advisor's performance state, making misselling state-dependent. Put explicitly, advisor-led misselling peaks when three conditions jointly hold: (i) shadow commissions distort incentives; (ii) the performance contract creates salient pressure thresholds that amplify distortions; and (iii) the advisor operates at a pressure point's margin, so additional performance points remain valuable for avoiding shortfalls or improving promotion prospects. This generates episodic misselling spikes precisely when clients are most vulnerable.

Empirically, we examine misselling dynamics using transaction-level data from *The Bank*. Our sample comprises 19,577 randomly selected retail clients with complete transaction records from June 2019 to June 2020. Of these, 5,518 clients were matched to 463 financial advisors for the entire period, forming our primary advised client sample. Unadvised clients serve as a benchmark to isolate bank-level misselling. We define misselling as sales of *low-return products*—WMPs offering the lowest expected return among concurrently available alternatives of the same type and maturity.⁴

Summary statistics reveal a strikingly high prevalence of low-return product sales: an average of 73% of WMPs sold were low-return, providing *prima facie* evidence that bank-level incentives systematically override client welfare. In practice, *The Bank* more actively marketed low-return products through its internal channels, while higher-return products were frequently subject to sales caps or “flash sale” (rush purchase) policies, rendering the low-return alternatives more consistently accessible to clients. This misselling ratio is

⁴During the sample period, an average of 6.6 distinct product type-maturity categories were available daily, with each containing approximately 4.52 individual products.

74% for advised clients, compared to 69% for unadvised clients, a differential suggesting that advisors actively exacerbate the institutional bias rather than mitigating it.

To delineate how advisors’ career concerns catalyze dynamic, state-dependent misselling, we construct advisor-month-level indicators that operationalize three distinct pressure states.

First, we investigate performance pressure from *The Bank’s* monthly sales quotas.⁵ We proxy performance pressure with a binary variable, *Missed quota*, equal to one when an advisor failed to meet the previous month’s target. Advisors under performance pressure significantly increase misselling: failing to meet the prior month’s quota is associated with a 30.7% increase in low-return WMP sales volume and a 7.5% rise in their sales ratio.

Second, we examine peer effects on misselling, another key driver of work effort (DeMarzo and Kaniel, 2023; Dimmock, Gerken, and Graham, 2018). Within *The Bank*, peer effects are institutionalized via performance rankings that foster internal competition. We proxy peer pressure using peer group size, hypothesizing that larger groups intensify competitive pressure. To establish causality, we exploit a structural reorganization of *The Bank’s* branch families in November 2019, which altered advisors’ peer groups. Using Difference-in-Differences (DiD), we find that advisors transitioning into larger peer groups significantly increased misselling. Although peer pressure spurs advisors to boost performance metrics, these gains come at the clients’ expense.

Finally, we examine promotion prospects. At *The Bank*, advancement to higher-level advisor positions is highly competitive: top-performing advisors are annually shortlisted based on prior-year performance. This nomination triggers a formal evaluation period that may heighten promotion candidates’ incentive to missell. Using *The Bank’s* January 2020 announcement of promotion candidates as an event, we employ DiD. The findings offer tentative evidence that misselling is driven by career advancement pursuit, though effects are less robust than quota pressure or peer effects.

We also examine client complaints and bank competition as deterrents to misselling. Both reduce misselling, but the effects fade: misselling rebounds within three months

⁵Prior research shows that quota design systematically influences agents’ effort and selling tactics (e.g., Chung, Narayandas, and Chang, 2021; Jindal and Newberry, 2022).

after complaints. This reflects the modest return gap between low-return and high-return products. Clients rarely discipline banks through fund reallocation, likely because switching costs exceed the small return loss from misselling by stressed advisors.

Section 5 identifies which clients advisors target for misselling by mapping vulnerable segments to advisor characteristics. We find that (i) client investment experience (proxying financial literacy) is critical—less experienced clients are significantly more susceptible to low-return products under advisor pressure; (ii) advisors preserve premium client relationships but disproportionately target private banking clients for misselling, likely due to perceived lower oversight and higher transaction efficiency; and (iii) gender dynamics reveal concentrated misselling in female advisor–male client dyads.

Section 6 discusses policy implications. We review the global regulatory landscape and the unintended consequences of strict regulation. Our finding that conflicts of interest in universal banking originate at the organizational level suggests structural decoupling, i.e., promoting independent advisory systems, as a key remedy. We also highlight pressure-point monitoring as a more effective oversight approach in universal banking. Finally, we discuss institutional frictions that complicate such reforms.

This study relates to two streams of literature.

This paper primarily contributes to the literature on conflicts of interest and the quality of retail financial advice. A large body of work shows that advisors often recommend products that maximize intermediary compensation rather than client utility (Mehran and Stulz, 2007; Christoffersen, Evans, and Musto, 2013; Anagol, Cole, and Sarkar, 2017; Egan, Matvos, and Seru, 2019, 2024; Reuter and Schoar, 2024; Andries, Bonelli, and Sraer, 2025), and such conflicts are frequently associated with inferior outcomes in advised accounts (e.g., Hoechle et al., 2017).⁶ Much of this evidence, as well as the policy debate it informs, focuses on advisor-level inducements (e.g., commissions), disclosure-based remedies, and conduct standards that discipline individual recommendations. We contribute to this literature in four ways.

⁶The welfare implications of financial advice are subject to ongoing debate. While many studies find that conflicted advice harms clients (e.g., Hoechle et al., 2017, 2018; Egan, 2019; Anagol et al., 2017), others suggest that advisors may add value by reducing behavioral biases and encouraging market participation (e.g., Kramer, 2012; Guiso, Pozzi, Tsoy, Gambacorta, and Mistrulli, 2022; Hackethal, Haliassos, and Jappelli, 2012; Gennaioli, Shleifer, and Vishny, 2015; Balakina, Bäckman, Hackethal, Hanspal, and Lammer, 2025). Ultimately, the welfare effect depends on the counterfactual portfolio and investor sophistication (Bhattacharya, Hackethal, Kaesler, Loos, and Meyer, 2012; Chalmers and Reuter, 2020).

First, we shift attention from advisor-level inducements to upstream organizational level. Under universal banking, conflicts are not “at the point of sale” but inherently embedded “at the point of production”. While a few related works document profit asymmetries and bank-driven steering (Sane and Halan, 2017; Fecht et al., 2018; Hoechle et al., 2018), we open the institutional “black box” by providing direct evidence on how banks translate product-level profitability into frontline incentives through the joint design of shadow commissions and career-related contract policies.

Second, we show that advice distortions are state-dependent rather than time-invariant. Recent research documents that misconduct varies with macroeconomic cycles (Gelman, Khan, and Shoham, 2022) and individual wealth shocks (Dimmock, Gerken, and Van Alfen, 2021). We contribute by highlighting the role of career concerns (Ferreira, Matos, and Pires, 2018) in shaping advisors’ behavior, which turns misselling into an episodic phenomenon that spikes when advisors face heightened career pressure.

Third, we provide a clean identification strategy for deliberate misselling. A central challenge is that poor client outcomes need not imply intentional exploitation; they may reflect limited ability or misguided beliefs (Foerster, Linnainmaa, Melzer, and Previtero, 2017; Linnainmaa, Melzer, and Previtero, 2021). Our setting of an implicit-guarantee regime in the WMP market yields a transparent within-menu benchmark.

Finally, we advance the literature by discussing policy implications for universal banking and institutional frictions that complicate independence-based reforms in bank-dominated systems.

As a second stream, our study contributes to the organizational economics literature on firm boundaries (Lafontaine and Slade, 2007) and common-agency problems (Bernheim and Whinston, 1986). Vertical integration allows universal banks to extract rents across the value chain but creates a nested double-agency structure that degrades advice quality. The bank’s mandate to maximize shareholder profit creates an upstream conflict: designing product menus with asymmetric margins favoring firm profit over client suitability. This tension is internalized by advisors through shadow commissions, quotas, and ranking-based promotions (Kishore, Rao, Narasimhan, and John, 2013; Chung et al., 2021; Honda, Inderst, and Ottaviani, 2024; Chan, Li, and Pierce, 2014), which translate institutional profit-seeking into professional survival pressure. This demonstrates how

firm boundaries can catalyze systematic moral hazard through complex compensation schemes (Schöttner, 2017).

The paper is structured as follows: Section 2 introduces the institutional background of the Chinese WMP market and *The Bank*. Section 3 describes the data structures and key variable measurements. Section 4 explores the state-dependent nature of misselling spikes driven by internal performance cycles. Section 5 investigates heterogeneity, analyzing how advisor and client characteristics influence misselling dynamics. Section 6 discusses policy implications and practical constraints. Section 7 concludes.

2 Institutional background

2.1 The Bank

The data come from a state-controlled joint-stock universal bank in China (“*The Bank*”).⁷ Retail finance is a key strategic focus, with personal finance balance of 456.9 billion RMB at year-end 2021. Retail operations encompass deposits, loans, and wealth management products (WMPs), supplemented by insurance and precious metals sales. Bank-distributed WMPs constitute 60% of client AUM; deposits account for another 30%.

2.2 Implicit guarantees in Chinese WMPs

WMPs are investment instruments that universal banks offer to retail investors. Functioning as asset-backed vehicles, these products pool investor funds for investment in a diverse range of underlying assets. Low-risk WMPs primarily invest in assets such as money market instruments, bonds, and equities. High-risk WMPs further include non-standard credit assets like trust loans.

WMPs have the broadest participation base among Chinese household investments and rank second by outstanding balance after equities. Most retail investors hold bank deposits with portions allocated to WMPs, even if they do not hold stocks.

⁷ *The Bank* operates over 1,100 branches across 122 cities. As of year-end 2021, it held assets exceeding 3 trillion RMB and operating income approaching 100 billion RMB, ranking among the top 50 banks globally (The Banker, 2022).

WMP prospectuses disclose fixed or range-based expected returns. Although regulations prohibit formal guarantees, promised returns are almost always fulfilled in practice. This phenomenon, known in Chinese as *gangdui* or implicit guarantee, refers to *de facto* rigid repayment of capital and interest regardless of underlying asset performance. Chinese banks honor payouts even if assets underperform or default, maintaining competitiveness and reputation (Huang, Huang, and Shao, 2023). This reinforces investor beliefs that WMPs are “risk-free, high-return” instruments, leading them to treat them as deposit-like assets with enhanced yields (Reuters, 2017).

The Bank categorizes products into five risk levels (1–5); our sample comprises risk levels 2 and 3.⁸ Risk level 2 products consist of money market instruments and high-grade bonds; level 3 permits limited equity exposure. WMPs within each risk level demonstrate high homogeneity in structure and assets. Since WMPs are effectively riskless, we refer to risk level as “product type” to denote underlying asset categories.

Throughout our sample period, *The Bank* distributed a total of 2,177 distinct WMPs of risk level 2–3. Excluding those with infinite maturity, these products had maturities ranging from one month to three years (average 5.6 months). Their expected annual returns varied from 2.29% to 5.40%, with a mean of 4.00%.

Each WMP was available only during a specified offering period. On any given day, an average of 22.26 products were available (ranging from 6 to 40), spanning approximately 6.6 distinct product type-maturity categories. Clients typically chose among 4.52 products within each type-maturity group. We constrained the “available product set” to products purchased by at least one client, accounting for potential sales caps on high-return products that render them *de facto* unavailable.

Section [Appendix A.1](#) explains how *The Bank* restricts and intermediates information access, preserving scope for steering. Section [Appendix A.3](#) provides additional background on the rise of implicit guarantees in China as a form of regulatory arbitrage and summarizes the associated regulatory landscape since 2018.

⁸Risk level 1 products are deposit-type; levels 4–5 are trust products. Section [Appendix A.2](#) justifies our focus on levels 2–3.

2.3 Misselling

Misselling occurs when a financial advisor prioritizes personal gain over client interests by recommending suboptimal products rather than those aligned with client needs (Inderst and Ottaviani, 2009). Detecting misselling is empirically challenging because poor outcomes may also reflect advisor skill deficits (Linnainmaa et al., 2021) rather than deliberate misconduct. The implicit guarantee in Chinese WMPs enables precise identification of misselling by removing ex-ante return uncertainty. An ethical advisor should recommend the highest-return product for a given type and maturity. Thus, recommending lower-return products when higher-yield alternatives are available constitutes objectively observable misselling.

We measure misselling as sales of *low-return products*—WMPs offering the lowest expected return among concurrently available alternatives with identical type and maturity on the purchase date. Low-return products averaged 3.96% guaranteed return versus 4.15% for high-return products (those offering the highest available return for the same type and maturity). While this 19-basis-point differential may appear modest from the client’s perspective, it translates into substantial marginal profit contributions for *The Bank* given the large aggregate scale of implicitly guaranteed WMPs.

2.4 Shadow commissions and performance contracts

This section explains how a conflict of interest is institutionalized within *The Bank* through shadow commissions and performance contracts.

Financial advisor performance at *The Bank* is assessed using a performance-point metric called *simulated profit* (measured in RMB). This metric has three components, with the largest contribution stemming from the simulated profit generated through new sales of financial products. *The Bank* calculates and assigns this specific simulated profit value to the responsible advisor for each product sold through the following three-step process:

- (1) Estimate the *total* expected return of the product: *The Bank* first assesses product risk to establish an internal, proprietary expected rate of return—its estimate of

the product’s actual return potential. This figure, designated as the real expected return or total expected return, is inherently risky and not disclosed to clients.

- (2) Allocate the *total* expected return: Next, *The Bank* decides how to allocate this estimated total expected return between itself and the client, a division made on a product-by-product basis according to internal policies. Clients are informed only of their allocated portion, which corresponds to the expected (but guaranteed) return specified in the product prospectus.
- (3) Assign simulated profit to advisor: Finally, *The Bank* calculates its own expected profit from a financial product sold as the difference between the total expected return and the client’s return, multiplied by the purchase amount. The selling advisor is then credited with 70% of this expected profit as simulated profit for new sales. This 70% allocation remained stable during our sample period and is reviewed annually for potential adjustment.

A numerical example helps to clarify this process:

- (1) Consider *Product A*, where *The Bank* anticipates a 6% total expected return.
- (2) *The Bank* decides to share the return with clients at a 1:2 ratio, meaning clients are informed of a 4% expected (guaranteed) return.
- (3) Suppose a financial advisor sells RMB 1 million of Product A, *The Bank’s* expected profit is 2% of this amount, that is, 20,000 RMB. Of this, 70% (14,000 RMB) is credited to the financial advisor’s simulated profit.

In other words, an advisor registers 14,000 RMB in simulated profit for that month by selling 1 million RMB worth of Product A. When an advisor sells multiple products, their total simulated profit is the sum of the simulated profits from each product sold.⁹

A key takeaway is that advisors’ performance points are tied to *The Bank’s* profitability rather than clients’ returns. This system effectively internalizes *The Bank’s* conflict

⁹In addition to “simulated profit for new product sales”, financial advisors earn (1) “simulated profit for AUM”, which reflects the interest spread (from financial products and deposits) that existing assets generate for the bank; and (2) “simulated profit for acquiring new clients”. However, these two components typically make up only a small portion of an advisor’s overall performance evaluation.

of interest at the frontline: holding the total expected return fixed, a higher client-facing return mechanically reduces *The Bank*’s (and thus the advisor’s) simulated profit margin, and vice versa. In principle, advisors should recommend products that maximize client returns, but this incentive alignment breaks down in this case.

Even a well-intentioned advisor could increase performance points by expanding total sales while recommending higher-return products. *The Bank*, however, adds a second layer of career-based pressure that makes performance points salient. In particular, it imposes monthly quotas and missing a quota can trigger career consequences, intensifying the incentive to prioritize point-generating products.

The Bank’s quota system operates as follows. Financial advisors are categorized into six levels based on experience and performance, and each level has a specific monthly simulated profit quota.¹⁰ Advisors exceeding their quota receive cash bonuses. Missing the quota for one or two consecutive months results in lost bonus eligibility but no formal sanctions. However, missing it for three consecutive months triggers a human resources review, potentially leading to a reassessment of the advisor’s position or level.

3 Data and variables

3.1 Sample

Our dataset, obtained from *The Bank*, comprises the full population of 620 financial advisors in Beijing (2019–2020) and a random sample of 19,577 retail clients. Of the sample, 5,518 clients were advised, each managed by a single financial advisor. For these clients, all transactions contributed to their assigned advisor’s performance metrics. Conversely, transactions by unadvised clients (those without an assigned advisor in *The Bank*’s system) were registered only to the branch’s performance account. The 5,518 advised clients were served by 463 distinct financial advisors, representing approximately 75% of *The Bank*’s advisors in Beijing.¹¹ The client-advisor pairings remained unchanged throughout the sample period. This matched group of advised clients constitutes our main

¹⁰The quotas remain relatively stable over time but may be adjusted in response to broader economic conditions or changes in internal policy.

¹¹Appendix Figure B1 shows the geographical distribution of sampled advisors and all advisors across districts in Beijing.

sample for analysis, while the unadvised clients serve as a placebo sample.

The dataset includes three layers: financial advisors, retail clients, and financial products.

For each financial advisor, the dataset provides monthly information on the advisor’s level (within six levels), sales quota (i.e., target simulated profits), realized simulated profits, and total value of individual and corporate loans under their management from June 2019 to June 2020. The dataset also contains personal characteristics such as branch affiliation, gender, and time of entry into the financial industry. As shown in Table 1, 30% of the 463 financial advisors in our sample are male, and they have an average of 11.6 years of professional experience.

[Insert Table 1 about here]

For each customer, we obtain her transaction records for deposits and financial products (including WMPs and others), and the daily total value of financial assets held at *The Bank* from June 2019 to June 2020. The full sample contains 186,944 transaction records. Reported personal information includes the branch and date of account opening, age, gender, and risk appetite.¹² Our main sample of 5,518 clients had an average age of 52.8 years, an average investment duration of 4.4 years, and average daily asset holdings of RMB 0.55 million at *The Bank* (including WMPs and deposits). Based on self-reported risk appetite, 26.3% were classified as risk-averse. The sample was 44.1% male, with age and risk appetite distributions broadly similar across genders.¹³

For each financial product sold during the sample period, we obtained the corresponding product brochures, which contain detailed information on product type, investment maturity, the expected return disclosed to clients, and other investment rules.

¹²Client risk appetite is assessed via survey questions and categorized by *The Bank* into five levels: risk-averse (levels 1–2), risk-neutral (level 3), and risk-loving (levels 4–5).

¹³Appendix Table B1 presents summary statistics for unadvised clients and compares them with advised clients. To ensure comparability, particularly given the non-negligible proportion of inactive unadvised clients, both samples exclude “inactive” client-months, defined as periods where the client made no WMP transactions for three or more consecutive months. T-tests reveal that unadvised clients have a similar gender distribution (45% male). However, they are slightly less experienced in investing (4.3 years average), younger (45.6 years old), less risk-averse (19.11% risk averse), and held less wealth (average daily asset holdings: RMB 0.32 million).

3.2 Variables

3.2.1 Misselling

As detailed in Section 2.3, this study measures misselling by the sales of low-return WMPs—WMPs offering the lowest expected return among concurrently available alternatives with identical type and maturity on the purchase date.

Within the full 19,577-client sample, low-return products accounted for 72.9% of WMP sales (RMB 52.04 billion of RMB 71.38 billion): 74.0% for advised clients and 69.5% for unadvised clients. These statistics reveal three insights:

First, the high prevalence of low-return sales suggests a bank-level, profit-driven strategy. In practice at *The Bank*, low-return products are marketed more aggressively, whereas higher-return products are sometimes subject to sales caps or “rush purchase” policies, making lower-return products more consistently available. This section further examines settings in which *The Bank*’s internal contractual architecture interacts with an advisor’s performance pressure to generate episodic spikes in misselling.

Second, the higher propensity of advised clients to purchase low-return products indicates advisor-initiated misselling.

Third, the higher transaction volume of advised clients and the substantial inactivity of unadvised clients suggest that while advised clients are steered toward suboptimal products, unadvised clients under-participate in markets. Appendix Table B2 shows that unadvised clients hold a larger share of their assets in bank deposits, which typically yield lower returns than WMPs. This is consistent with evidence that advice, even if of low-quality, increases market participation (Guiso et al., 2022).

The granular data allows for client-level analysis of misselling. For each client-month, we construct three misselling variables: (1) sales dummy, which equals one if the client purchased any low-return products (extensive margin); (2) sales volume, measured as the log of total low-return product transaction amount plus one (intensive margin); and (3) sales ratio, calculated as low-return WMP volume divided by total WMP volume.¹⁴

¹⁴When a client-month dyad has no WMP transactions, we set the low-return product sales ratio to zero. This approach treats a client’s non-purchase as an active choice; for instance, if a client declines recommended (low-return) products and consequently chooses not to purchase any WMPs in the month, this client-month is considered a 0% low-return product sales ratio. This conservative approach leads to an underestimation of the low-return product sales ratio in summary statistics. In later sections, we

Table 1 reveals that misselling is pervasive at the individual client level. Among advised clients, an average of 48% of client-months contained low-return product transactions. When conditioned on actual WMP sales (55.9% of client-months), this proportion is approximately 85.5%. In terms of sales volume, low-return products account for RMB 558 thousand per client-month, representing 74% of the total WMP volume sold (RMB 755 thousand). When averaging the low-return product sales ratio per client-month, the ratio is 36%.¹⁵ All three measures of misselling are higher among advised clients than among unadvised clients (Appendix Table B1).

3.2.2 Career concerns

The Bank designs performance contracts that heighten career concerns. We examine three career-related concerns that amplify shadow commission effects. These two forces interact with advisors' performance states, creating pressure thresholds that catalyze episodic misselling spikes.

First, we consider performance pressure, proxied by *Missed quota*, a binary indicator that equals one if the advisor failed to meet the assigned sales quota in month $t - 1$. This captures underperformance against internal benchmarks and proxies for heightened pressure to boost current-period (t) sales. Details on *The Bank's* quota system appear in Section 2.4.

Missing quota is not uncommon: 44.92% of advisors missed their quota at least once, suggesting that the findings are not driven by a small group of chronically underperforming advisors. On average, 26.10% missed quota in a given month (Table 1).

Second, we examine peer pressure as another career concern. We leverage a structural reorganization of *The Bank's* branch families in November 2019 as a quasi-natural experiment. We hypothesize that advisors merged into larger branch families (larger peer groups) experienced intensified peer pressure, increasing misselling. The institutional

will perform robustness tests using an active client-month sample that excludes periods with no WMP transactions for three or more consecutive months.

¹⁵This average sales ratio is lower than the volume-based ratio (74.0%) because we conservatively assign a value of zero to client-months with no WMP transactions. In Appendix Table B1, we present the summary statistics of the active client-month sample. This refinement increases the proportion of client-months with non-zero WMP sales from 55.9% in the full sample to 83.2%. In this active sample, the average low-return product sales ratio is 54.1%. Mechanically, this refinement would not alter the volume-based ratio.

change motivates a DiD design, where the treatment group comprises advisors from branches transitioning to larger families, with the post-period beginning in November 2019. Details will be presented in Section 4.2.

Third, we investigate promotion prospects as a more nuanced career-based amplifier for misselling. At *The Bank*, annual promotions for advanced-level advisors are highly competitive, reserved for the top 5% of performers who undergo another evaluation after the announcement. This motivates a DiD design where the treatment group comprises the top 5% candidates, with the post-period beginning on the announcement date (January 2020). Details will be presented in Section 4.3.

3.2.3 Controls

We include all available variables that would affect the financial advisor’s efforts to sell. First, we include the log of the advisor’s monthly bonuses (plus one) in the previous month to capture the monetary incentive to perform.¹⁶ Second, we include the log of the amount of individual loans and corporate loans that are supervised by financial advisors.¹⁷

4 Performance contract and misselling

4.1 Quota pressure

First, we conjecture that quota pressure amplifies advisors’ misselling incentives. At *The Bank*, advisors must meet monthly sales quotas; failing to meet them incurs penalties for career prospects and bonuses. Missing quota in month $(t - 1)$ thus creates a strong incentive to missell in period t to restore performance. We investigate this hypothesis with the following regression model:

$$\begin{aligned} \text{Sales of low-return WMPs}_{ijt} = & \alpha + \beta \times \text{Missed quota}_{i,t-1} + \gamma' X_{i,t-1} \\ & + \text{client-advisor}_{ij} + \text{year-month}_t + \varepsilon_{ijt}. \end{aligned} \quad (1)$$

¹⁶The monthly bonus is awarded as compensation for financial product sales exceeding the quota and is calculated as a proportion of the excess simulated profit.

¹⁷In *The Bank*, financial advisors also assist clients in obtaining loans, but loan assignments are distributed by bank branch managers. While financial advisors may face little performance pressure in loan services, it may influence their working efforts since it impacts their bonuses. In the regressions, we use the average daily stock amount of individual loans and corporate loans within a month.

where i is the financial advisor, j is the client, and t is the month. Each client is served by one advisor with constant pairings throughout the period. The dependent variable measures low-return WMP sales by advisor i to client j in month t , captured by (i) a dummy for any low-return purchase (extensive margin), (ii) log sales volume plus one (intensive margin), and (iii) sales ratio (low-return volume divided by total WMP volume). The key explanatory variable is *Missed quota*, equal to one if the advisor failed quota in month $t - 1$. X represents a vector of control variables, including advisor bonus (log plus one), client loans supervised (log plus one), and corporate loans supervised (log plus one), all lagged one month. Regressions include client-advisor and year-month fixed effects, with standard errors clustered at the client-advisor level. The sample contains 5,518 clients corresponding to 463 financial advisors from June 2019 to June 2020.

[Insert Table 2 about here]

Table 2 presents baseline regression results. Columns 1-3 examine the effects of performance pressure on misselling. *Missed quota* coefficients are positive and statistically significant across all three measures. In column 1, the coefficient of 0.027 indicates that advisors who missed quota have a 2.7 percentage point higher probability of selling low-return WMPs (5.6% relative to the mean of 0.48). They sell 30.7% more low-return WMPs by volume (column 2), equivalent to RMB 171.4 thousand additional sales per client-month. In terms of sales ratio (column 3), these stressed advisors sell 2.7 percentage points more low-return WMPs, representing a 7.5% increase relative to the mean.

Columns 4-6 present placebo tests using high-return WMP sales as the dependent variable. The coefficients on *Missed quota* are statistically insignificant and economically small, supporting the interpretation that quota pressure disproportionately drives sales of low-return products because they generate higher performance points.

To examine within-month dynamics following a quota miss, Figure 1 plots the average daily excess sales ratio of low-return products for advisors who missed quota versus those who met it. We define “excess” relative to the unadvised clients’ benchmark ratio. Advisors meeting quota show excess ratios near zero throughout the month, while quota-missing advisors’ misselling rises sharply around day 11. This timing aligns with *The Bank*’s verification process: the human resources (HR) department verifies prior-month

performance during the second week. Thus, misselling accelerates immediately after advisors learn of their quota failure.

[Insert Figure 1 about here]

Section [Appendix A.4](#) reports a battery of robustness and placebo tests, including: (i) examining consecutive quota shortfalls (missing the quota for two or three consecutive months); (ii) restricting the sample to active clients; (iii) using unadvised clients as a placebo group; (iv) testing whether quota pressure improves advisors’ overall performance; (v) accounting for COVID-19 disruptions; and (vi) examining how performance pressure affects WMP sales across the return distribution.

4.2 Peer pressure

This section investigates ranking-related peer pressure as a career concern. While not a formal performance target, peer dynamics influence work behavior, including sales efforts and tactics. [DeMarzo and Kaniel \(2023\)](#) shows that strong peer effects, for example, wage comparisons, significantly influence employee utility and effort, potentially offsetting performance benchmarking.

Within *The Bank*, peer effects are institutionalized through performance rankings that foster internal competition. Directly measuring peer pressure is challenging; we use peer group size as a proxy. Larger peer groups amplify competition for top rankings and rewards, intensifying pressure to outperform. Smaller groups may foster social ties and mutual support, potentially mitigating competitive pressures.

To establish causality between peer group size and misselling, we exploit an exogenous shock to *The Bank*’s peer group composition. *The Bank*’s hierarchical structure encompasses branch, branch family, city, city family, province, and national levels, each with a designated leader. In June 2019, the 63 sample branches were organized into 6 branch families. Since branch family memberships are periodically reconfigured and performance rankings are disseminated across all tiers, these reconfigurations alter advisors’ peer comparison groups. Advisors reassigned to larger branch families experience increased direct peers, heightening competitive pressure even if performance standards remain constant.

A significant branch family rotation occurred in November 2019. During this event, 44 of 63 branches were reassigned to larger families, 12 to smaller families, and 7 experienced no change. We leverage this organizational reshuffling as a quasi-natural experiment and implement DiD to identify the causal effect of increased peer group size on misselling. The treatment group comprises advisors from the 44 branches transitioning to larger families; the control group comprises advisors from the remaining 19 branches. To distinguish peer pressure effects from direct performance targets, the model includes *Missed quota* as a control. Our DiD specification follows:

$$\begin{aligned} \text{Sales of low-return WMPs}_{ijt} = & \alpha + \beta \times \text{Enlarged Group}_i \times \text{Post-Nov2019}_t \\ & + \gamma_1 \times \text{Missed quota}_{i,t-1} + \gamma_2 \times X_{i,t-1} \\ & + \text{client-advisor}_i + \text{year-month}_t + \varepsilon_{ijt} \end{aligned} \quad (2)$$

[Insert Table 3 about here]

Results are shown in Table 3. The DiD coefficients are positive and statistically significant across misselling outcomes. For treated advisors, low-return product sales increased significantly post-reorganization. Sales volume rose by 74.9% (column 2), consistent with heightened peer pressure incentivizing misselling. This effect is economically substantial. It translates to an increase in monthly low-return product sales of approximately RMB 418.2 thousand per client ($74.9\% \times \text{RMB } 558.36 \text{ thousand}$).¹⁸

[Insert Figure 2 about here]

Figure 2 illustrates the parallel trends assumption using dynamic DiD coefficients for sales dummy (Panel A), sales volume (Panel B), and sales ratio (Panel C) of low-return products. The results show clear trends. Advisors from the 44 treated branches exhibit significantly higher misselling after merging into larger branch families in November 2019.

Appendix Table B10 presents a placebo test using unadvised clients. The results show that unadvised clients did not alter their purchase behavior when advisors in their branch

¹⁸We acknowledge that the selection of branches for mergers may be endogenous. Appendix Table B9 shows that the results are robust using 1:1 and 1:3 nearest-neighbor matching.

faced heightened peer pressure. This provides strong evidence that advisors only mislead advised clients for performance enhancement.

4.3 Promotion prospects

This section investigates whether promotion prospects, as a more nuanced incentive, contribute to misselling without immediate penalties tied to explicit performance targets.

To identify the causal effects of promotion prospects on misselling, we exploit *The Bank*'s promotion system. Advisors at *The Bank* are categorized into starter level (three sub-levels) and advanced level (three sub-levels). Advancement within the starter level is non-competitive and quasi-automatic, based mainly on tenure and conduct standards. Promotions within the advanced level are highly competitive. Only the top 5% of advisors (by prior-year performance) are considered. Candidates undergo evaluation incorporating current-year performance and peer assessments, with approximately 5%-20% ultimately promoted.

During our sample period, *The Bank* announced its promotion candidate list, i.e., the top 5% of advanced-level advisors, in January 2020. Following this announcement, candidates entered a formal evaluation period, thereby experiencing increased promotion-related pressure thereafter.

Leveraging this arrangement, Table 4 presents DiD estimates of promotion pressure effects on misselling. The treatment group comprises the top 5% of advanced-level advisors selected as candidates, with the post-period beginning in January 2020. To distinguish promotion effects from direct quota pressure, the model includes *Missed quota* as a control. The specification follows:

$$\begin{aligned} \text{Sales of low-return WMPs}_{ijt} = & \alpha + \beta \times \text{Top5\%}_i \times \text{Post-Jan2020}_t \\ & + \gamma_1 \times \text{Missed quota}_{i,t-1} + \gamma_2 \times X_{i,t-1} \\ & + \text{client-advisor}_i + \text{year-month}_t + \varepsilon_{ijt} \end{aligned} \quad (3)$$

Table 4 provides mixed evidence on promotion-driven misselling. After nomination, clients of promotion candidates become more likely to purchase low-return products in larger amounts. However, the coefficient on the sales ratio remains statistically insignifi-

cant. Since this measure is conservatively defined and downward-biased, we cannot draw firm conclusions. On balance, promotion prospects appear to be a weaker driver of misselling than quota pressure or peer effects.

As a placebo test to strengthen causal interpretation, we use starter-level advisors, who face non-competitive promotion and lack the incentive to missell. Appendix Table B11 shows that the top 5% starter-level performers (by 2019 simulated profits) did not exhibit increased misselling after January 2020.

These findings offer tentative evidence that misselling arises under multiple incentive schemes. While strict performance targets clearly create pressure, less direct incentives like promotion prospects may nudge advisors toward low-return products. Both explicit and implicit reward structures can distort advisor behavior to clients' detriment.

4.4 Client complaints and bank competition as deterrents

This section investigates client complaints and bank competition as potential deterrents of misselling.

First, customer complaints deter misconduct as they signal branch performance to headquarters. At *The Bank*, complaints trigger performance point deductions for the branch, affecting all staff bonuses. To test whether complaints restrain misselling, we use branch-level complaint records on WMPs (product and service)¹⁹ and add interactions between *Missed quota* and a *Complaint* dummy to Equation 1.²⁰

[Insert Table 5 about here]

Table 5 shows that customer complaints sharply weaken quota-pressure effects on misselling. In column 1, the interaction term *Missed quota* $\times$ *Complaint (all)* is negative and significant, indicating that when a branch receives a complaint, quota-missing advisors sell 0.019 (0.028 – 0.047) fewer low-return products as a ratio of total WMPs.²¹

¹⁹Product-related complaints include disappointing returns and redemption difficulties; service-related complaints include processing delays and inadequate customer service.

²⁰Individual-level complaints were unavailable for our study. However, branch-level complaints likely prompt managers to scrutinize all staff within the branch and correct irregularities.

²¹The positive coefficient on complaints indicates endogeneity between complaints and misselling, as branches with more misselling receive more complaints.

Column 3 shows that service-related complaints generate the strongest effect (-0.065), suggesting clients' direct feedback creates immediate behavioral constraints.

Figure 3 illustrates the misselling dynamics surrounding complaint receipts. Misselling rises before the complaint (consistent with complaints triggered by deteriorating quality) and drops sharply in the month of the complaint and thereafter. However, misselling rebounds to pre-complaint levels within three months. The deterrent effect is temporary, while misselling incentives remain persistent.

[Insert Figure 3 about here]

Why does misselling rebound so quickly? Do clients reallocate to other banks to discipline advisors, which should create persistent deterrents (Baker, Baugh, and Sammon, 2020)? Panel A of Table 6 finds no fund outflows following misselling, indicating that Chinese clients rarely punish misselling through reallocation. We then perform a counterfactual analysis by calculating return gaps as the difference between maximum feasible and realized portfolio returns. The average gap is 0.147% (weighted) and 0.145% (unweighted). Panel B shows that conditioning on missed quotas, the incremental gap is only 0.012%-0.013% (8%-9% of mean). These results suggest that switching frictions likely dominate modest return shortfalls, combined with limited investor attention and information asymmetry (Li, 2020), preventing reallocation.

[Insert Table 6 about here]

We next examine local banking competition as another potential deterrent to misselling. Competition can amplify misconduct by intensifying pressure, but it can also discipline behavior when reputation and ethical costs are salient. Thanassoulis (2023) shows that competition tends to exacerbate misconduct in mass markets involving non-emotional decisions, whereas markets remain cleaner when firms pursue niche strategies or when misconduct triggers an emotional ethical cost.

We compile bank-branch information from the Beijing Statistical Yearbook (Beijing Municipal Bureau of Statistics, 2019, 2020, 2021), geocode branches across districts, and construct two measures of competition capturing (i) economic competition for local household financial resources and (ii) the spatial crowding of banking services. Table B12 shows

that, in Beijing, greater competition attenuates quota-induced misselling. A plausible mechanism is reputational. Because misselling can damage client-advisor relationships and is more likely to trigger complaints and negative word-of-mouth, its reputational costs are higher in more competitive environments where clients have more outside options.

5 Targets of misselling: client-advisor match

Financial advisors may strategically target certain client groups for misselling, and advisor–client matching can shape advice quality (Stolper and Walter, 2019). This section examines which client and advisor characteristics, as well as which advisor–client matches, are associated with a higher likelihood of misselling.

5.1 Experience

First, we assess whether a client’s investment experience tempers misselling exposure, using the length of time they have held an account with *The Bank* as a proxy. Clients who have maintained an account for longer periods are likely to be more financially literate as they have more experience in WMPs transactions. Sustained exposure to statements, product disclosures, and market news should sharpen their ability to judge WMP quality. If this is true, seasoned investors ought to be less willing to accept low-return products pushed by their advisors and therefore less likely to appear in the mis-sold pool.^{22,23}

Client account tenure in our sample ranges from 0 to 212 months (0 to 17.7 years) (Table 1). Using the top quantile as a cutoff within our sample, we classify clients with over 83 months (6.9 years) of account tenure as experienced and those with less as novice.²⁴

[Insert Table 7 about here]

²²The literature generally agrees that, albeit not a panacea, financial literacy provides significant protection against misselling and misconduct (Hastings, Madrian, and Skimmyhorn, 2013; von Gaudecker, 2015; Guiso and Viviano, 2015; Egan et al., 2019; Reuter and Schoar, 2024).

²³We acknowledge that this measure, while the best indicator available in our dataset, is imperfect as it could capture not only clients’ financial literacy but also the duration of their relationship with their advisor. Prior research has shown that advisor–client relationships can influence advisor behavior. While long-term relationships may encourage advisors to preserve trust and avoid exploitation, they may also enable advisors to take advantage of clients’ loyalty or inattention (Wang, Shi, and Liu, 2023).

²⁴Panel A of Appendix Table B13 presents summary statistics on WMPs sales by experienced and novice clients.

Panel A of Table 7 examines how client investment experience moderates misselling by interacting *Missed quota* with an *Experienced client* dummy in Equation 1. The results show that experienced clients purchase significantly fewer low-return products than novice clients when their shared advisor misses quota, suggesting that investment experience mitigates vulnerability to misselling under performance pressure.

We similarly examine advisor working experience, proxied by tenure in the finance profession. We classify advisors with over 140 months (11.7 years, top quartile) as experienced.²⁵ The impact of advisor experience on misselling is theoretically ambiguous: seasoned advisors may possess superior sales tactics enabling more effective misselling, yet also face stronger reputational incentives to preserve client relationships. Panel B of Table 7 shows that while experienced advisors sell more low-return products overall, their misselling response to performance pressure does not differ significantly from that of novice advisors.

Panel C of Table 7 examines four advisor-client experience dyads to assess how combined experience levels influence misselling. The results show that performance pressure has the strongest impact on misselling within experienced advisor–novice client pairs: the coefficient (column 5) is more than double the baseline estimate (Table 2, column 3). This indicates that less financially literate clients are especially vulnerable to opportunistic behavior by experienced advisors. Conversely, experienced clients purchase fewer low-return products even when served by novice advisors. Collectively, these findings highlight the critical protective role of client financial literacy, while the effect of advisor experience appears more nuanced.

Collectively, these findings provide robust evidence that client investment experience (or financial literacy) mitigates vulnerability to misselling. By contrast, the role of advisor experience is more nuanced.

5.2 Client wealth

Next, we investigate whether financial advisors disproportionately target wealthier clients for misselling. The hypothesis is theoretically ambiguous. On one hand, advisors may

²⁵Panel B of Appendix Table B13 presents descriptive statistics comparing WMP sales by these advisor experience categories.

prioritize relationships with high-net-worth clients to secure larger transactions and referrals. On the other hand, several factors could make wealthy clients particularly vulnerable to misselling. First, these clients may scrutinize low-risk WMPs less carefully given the complexity of managing large, diversified portfolios, devoting less attention to individual components. Second, for wealthy clients, the primary value of advisory relationships may lie in providing emotional support and reassurance in the face of market uncertainty rather than product selection *per se* (Hackethal et al., 2012; Courtenay, Taffler, and Baeckstrom, 2025). Third, from the advisor’s perspective, selling a large volume of low-return products to a single high-net-worth client is more effort-efficient than equivalent sales across multiple smaller clients.²⁶

We examine the role of client wealth in misselling by adding interaction terms between *Wealthy client* dummies and *Missed quota* to Equation 1. Adhering to regulatory classifications within China’s banking sector, clients are categorized by wealth: 68% are regular clients, 31% are premium clients (average daily balance exceeding RMB 500,000 in a given month), and 1% are private banking clients (average daily balance surpassing RMB 6 million). Appendix Table B14 provides descriptive statistics on WMPs transactions across these client wealth tiers.

The results (Table 8) indicate that only private banking clients are disproportionately targeted for misselling when advisors face performance pressure. This suggests that while advisors may try to preserve relationships with premium clients, they might exploit private banking clients, who are typically less involved in scrutinising lower-return, guaranteed financial products.

[Insert Table 8 about here]

5.3 Gender

The role of client and advisor gender in misselling provides another important dimension to investigate. Prior work on gender differences in financial decision-making yields mixed predictions about both clients’ susceptibility to misselling and advisors’ propensity to

²⁶Consistent with the targeting hypothesis, (Hoechle et al., 2017) finds that wealthier clients are disproportionately sold high-profit margin products by bank advisors.

engage in it (see Section [Appendix A.5](#) for a review). Whether gender shapes misselling in our setting is therefore an empirical question.²⁷

Table 9 examines gender dynamics through subsample analyses of four advisor-client gender pairings. The results reveal that male advisors show less misselling behavior under performance pressure. In addition, misselling by advisors under performance pressure is concentrated solely in female-advisor/male-client dyads.

[Insert Table 9 about here]

This concentrated effect among female advisor–male client pairs is intriguing and may reflect gender-specific persuasion or monitoring dynamics. For example, under pressure, female advisors may find male clients more willing to delegate decisions or less likely to scrutinize low-return recommendations, or this pairing may involve distinct communication and negotiation patterns that amplify steering incentives.

6 Policy implications

Over the past decade, global regulators have implemented significant reforms to mitigate conflicts of interest in financial advice, including the U.S. Regulation Best Interest (Reg BI, 2019), Europe’s MiFID II (2018), the UK’s Retail Distribution Review (RDR, 2013), and Australia’s FOFA (2013). While China has recently initiated discussions on tightening oversight—such as dismantling implicit guarantees and requiring mandatory video recordings to verify advisor misconduct—progress remains relatively gradual.

Section [Appendix A.6](#) provides a detailed review of the current global regulatory framework, highlighting how different jurisdictions regulate inducement-based compensation. Section [Appendix A.7](#) reviews evidence on unintended consequences of these reforms, in particular the “advice gap”, whereby stringent regulation can induce advisors and banks to exit the retail market, reducing access to advice, especially for low-financial-literacy households who arguably benefit from it the most.

²⁷Appendix Table B15 reports descriptive statistics on WMP sales by gender. Table B16 then formally examines whether gender moderates misselling by interacting *Missed quota* with gender indicators. The results suggest that male advisors are less likely to missell, while client gender exhibits no systematic pattern.

6.1 Policy implications of our findings

Our paper yields two main takeaways.

First, in a universal banking system, conflicts of interest originate at the institutional (upstream) level. These conflicts are endogenous to the bank’s vertically integrated structure, where product menus are embedded with heterogeneous profit margins. Because banks operate under a fiduciary mandate to maximize shareholder value, they possess a fundamental incentive to prioritize the distribution of high-margin products over client welfare.

Second, banks translate these higher-order institutional objectives into advisor-level motives through a dual-incentive mechanism: shadow commissions (product-level pecuniary inducements) and career concerns (including sales quotas, peer rankings, and promotion prospects). A critical implication of this transmission is that advisor misselling is not a static, average bias. Instead, it is a dynamic, state-dependent phenomenon that manifests as episodic spikes when advisors face heightened professional pressure or approach critical performance thresholds.

Based on these findings, this study contributes to current policy debates in two primary ways:

(i) Structural decoupling. Given the institutional difficulty of expecting financial firms to unilaterally abandon profit maximisation, the structural remedy must lie in fostering advisor independence. While the ideal scenario involves a transition toward a Registered Investment Adviser (RIA) model or a less vertically integrated broker-dealer framework, we acknowledge the significant frictions involved in such a transition. An effective intermediate path would be to mandate a structural decoupling within the bank. This involves transferring the appraisal and compensation authority for advisors from sales-oriented business lines to independent compliance or risk-management departments. Furthermore, introducing third-party audits to oversee the weighting and selection of the product recommendation pool could ensure a more neutral advisory process within existing organizational boundaries.

(ii) Pressure-point monitoring. Our characterization of misselling as episodic spikes suggests that periodic or randomized audits are likely to miss the most severe distor-

tions. Instead, regulators should adopt targeted supervision based on incentive salience. Oversight should be concentrated on pressure points—specifically advisors near critical performance thresholds, those with consecutive monthly shortfalls, or those within promotion windows. To achieve this, regulators could encourage the adoption of RegTech or SupTech frameworks, where high-frequency sales data is integrated with machine learning algorithms to flag abnormal production spikes in real-time. Rather than traditional ex-post penalties, such a system would enable risk-based, automated alerts during high-salience incentive periods. This allows regulators to conduct targeted inquiries into the internal pricing or product access policies that triggered these spikes, significantly enhancing the efficiency of oversight without the need for constant, manual audits. This echoes the “effective practices” identified by FINRA, which advocate for linking surveillance to compensation grid thresholds to detect potential churning or biased recommendations.

6.2 Frictions in implementation

We identify five key frictions that make such structural reforms particularly challenging. We focus on China in this paper, but most of these insights are applicable to other universal bank-dominated regimes.

(i) Path dependence and institutionalised trust. Institutional frameworks are characterised by a profound path dependence. In bank-centric systems, investor trust has been systematically institutionalised, e.g., vested in the brand equity or perceived state-backing of major banks, rather than professionalized around individual expertise. In these environments, the reputation of an individual advisor carries significantly less weight than the institutional identity of the employer. This creates a formidable barrier for independent advisors, who must navigate a protracted and resource-intensive process to accumulate the reputational capital required to compete with incumbent universal banks. While a shift toward the broker-dealer model may offer a pragmatic middle ground, the substitution of entrenched institutional trust with new organizational reputations remains a multi-decadal challenge; the accumulation of trust, bound by institutional inertia, inherently lags behind structural reform.

(ii) Advice gap and bank profitability. As established in the previous section, a significant body of empirical literature demonstrates that aggressive regulatory man-

dates can inadvertently precipitate an “advice gap”. A related dimension of this issue is bank profitability, which remains a fundamental prerequisite for systemic financial resilience. Regulators must therefore navigate a delicate trade-off between mitigating advisory misconduct and ensuring the economic viability of the banking sector. Over-regulation—particularly the categorical prohibition of inducement-based income—risks eroding banks’ capital positions and inducing a widespread withdrawal of advisory services for retail participants.

(iii) Cultural frictions. Regulatory efficacy is heavily mediated by cultural norms. While the U.S. market is rooted in individualism and a “fee-for-service” logic, jurisdictions like China operate within a relational-based social fabric. In these environments, financial advice is often perceived as an intangible byproduct of a social bond or a complimentary bank service rather than a standalone professional product. This creates a pervasive “zero-price” bias, where investors exhibit significant psychological resistance to paying explicit fees for intellectual consultation. Consequently, transitioning to a fee-based model faces substantial cultural friction; without a cultivated “fee-for-service” habit, the abrupt removal of commissions may lead to an advice gap, where retail participants are unwilling to bear the explicit costs of professional guidance.

(iv) Regulatory (un)independence. Effective oversight hinges on regulatory independence, including judicial, administrative, and personnel aspects; but in practice, it is often weakened by institutional frictions. In the Chinese case, first, political hierarchy can invert the regulator–regulated relationship as some senior bank executives outrank supervisors, generating administrative resistance and *soft* enforcement whenever strict oversight threatens profitability or entrenched interests. Second, dense social and revolving-door networks between regulators and bank officials heighten the risk of regulatory capture, leading to selective enforcement and diluted scrutiny. Third, limited separation between judicial, executive, and regulatory authority blurs objectives, so supervision is frequently subordinated to broader political or stability goals rather than applied as a purely functional constraint.

(v) Reactive Regulation. Financial oversight is fundamentally reactive, typically requiring a systemic shock to overcome institutional inertia. Historically, landmark reforms have emerged as ex-post responses to profound crises: the 2008 Global Financial Crisis

catalyzed Europe’s MiFID II, while “boiler room” scandals in Australia accelerated the FOFA reforms. Our empirical evidence, however, suggests that Chinese investors exhibit a significant lack of sensitivity toward advisor misselling. This low salience of misconduct eliminates the immediate political pressure or “scandal catalyst” necessary to trigger proactive reform. Consequently, in the absence of a visible crisis or widespread public outcry, regulators lack the incentive to disrupt the institutional status quo, allowing systemic misselling to persist under the radar.

Ultimately, effective regulation is predicated on a deep empirical understanding of the problem. This study contributes to this transition by providing a necessary diagnosis; by identifying the state-dependent nature of misselling spikes, we offer the evidence-based foundation required for prescriptive, rather than merely reactive, oversight.

7 Conclusion

This paper provides a comprehensive characterization of misselling in financial advice within universal banking systems, leveraging detailed internal performance metrics and granular transaction data from a major Chinese bank. We offer novel evidence on how organizational design translates institutional profit objectives into frontline advisor behavior through a combination of shadow commissions and career-based performance contracts.

Exploiting the implicit guarantees embedded in Chinese wealth management products (WMPs), we identify deliberate misselling through the sale of low-risk but low-return products. We show that misselling is pervasive at the institutional level: 73% of WMP sales involve the lowest-return products, affecting advised and unadvised clients alike. This pattern is consistent with bank-level strategic design rather than isolated advisor misconduct.

By matching transaction records with advisors’ internal performance metrics, including sales quotas, peer rankings, and promotion windows, we precisely trace the dynamic evolution of misselling behavior. Our findings reveal that misselling is not a stable, time-invariant bias but rather manifests as episodic spikes triggered by the bank’s internal contractual architecture. When advisors fall short of performance targets (especially after consecutive monthly shortfalls), face intensified peer competition, or enter career-

critical promotion windows, institutional pressure is amplified through non-linear incentive mechanisms, generating sharp deteriorations in advice quality. At the same time, client complaints and local banking competition act as deterrents to misselling. However, clients exhibit little discipline through fund reallocation (i.e., outflows to other banks), likely because the return shortfall induced by misselling is small.

We further document the tactical nature of misselling under performance pressure. Advisors exhibit selective targeting, disproportionately exploiting clients with lower financial literacy and limited investment experience, as well as private banking clients who can substantially boost performance metrics through single large transactions. Gender interaction effects and the deterrent role of client complaints further enrich this behavioral portrait, demonstrating that misselling emerges from advisors’ strategic calculus amid survival pressures and external constraints.

From an organizational economics perspective, our characterization reveals the essence of nested double-agency in vertically integrated systems: the bank’s institutional profit objectives are endogenously transformed into advisor misselling incentives through sophisticated performance contract design. This vertical integration creates a structural conflict whereby product manufacturing and advisory services cannot be simultaneously aligned with client welfare. Consequently, the core regulatory solution must target structural decoupling—breaking the organizational boundaries between product creation and distribution. However, several institutional frictions make such decoupling reforms challenging.

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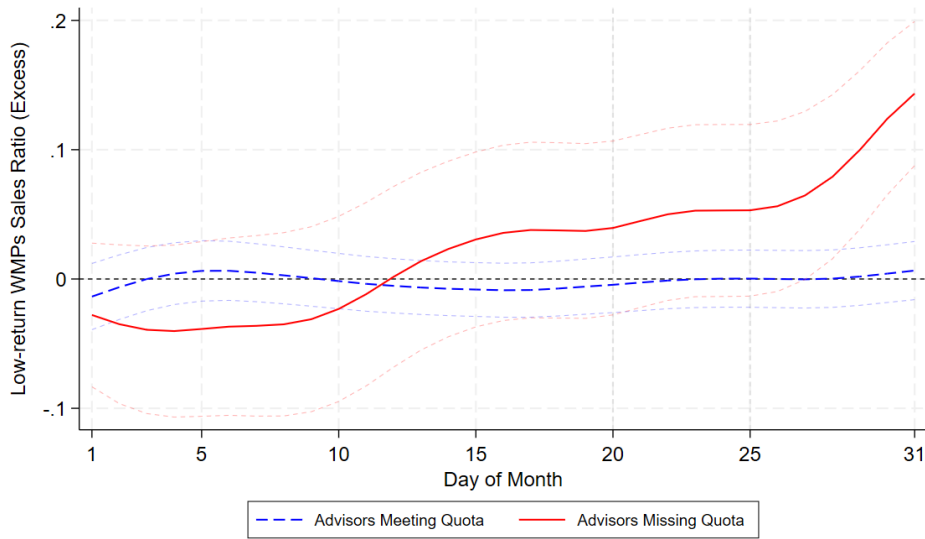
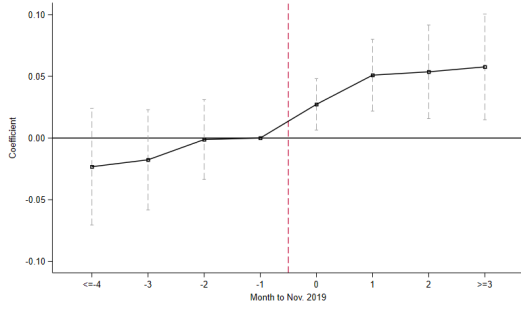
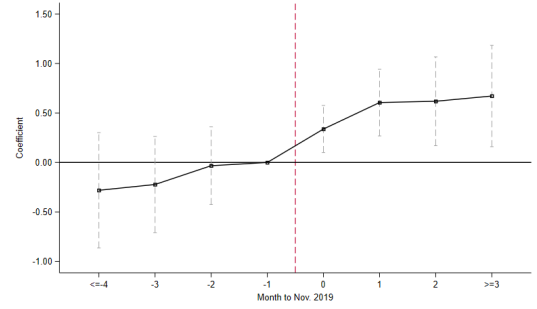


Figure 1. **Daily misselling after missing quota**

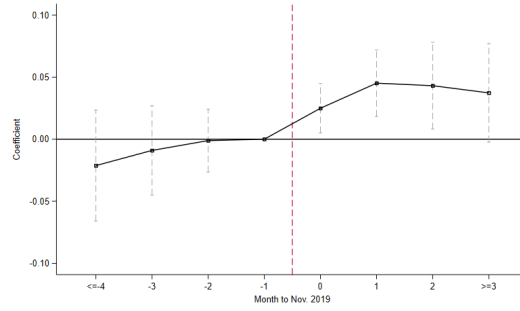
Note: This figure plots the average daily excess sales ratio of low-return products over a monthly cycle. We compare advisors who missed their sales quota in the previous month (solid red line) with those who met it (dashed blue line). To construct the “excess” measure, we first demean the raw daily sales ratio at the individual level—defined at the advisor level for advised clients and at the client level for unadvised clients—to account for individual fixed effects. We then subtract the contemporaneous average sales ratio of unadvised clients from the demeaned series of the two advisor groups. The unadvised group serves as a benchmark to capture the natural provision and organic demand of products independent of advisor-specific incentives. The sample excludes advisors who missed their quotas for multiple consecutive months to focus on transitory pressure. All plotted series, including both the point estimates and their corresponding 95% confidence intervals, are smoothed using a LOWESS procedure. The light dashed lines indicate the smoothed confidence intervals.



(a) *Sales dummy of low-return WMPs*



(b) *Sales volume of low-return WMPs*



(c) *Sales ratio of low-return WMPs*

Figure 2. **Peer pressure and misselling: parallel trends**

Note: This figure illustrates the parallel trends assumption for the DiD analysis examining the effect of peer pressure—proxied by exogenous changes in peer group size—on misselling behavior. The estimation follows Equation 2, replacing the Post-Nov 2019 dummy with a set of month-specific dummies. November 2019, the event month, is set to be month 0. Months -1 are omitted as the reference group. Panel (a) plots the coefficients for the sales dummy of low-return products; Panel (b) shows the results for the log of sales volume of low-return products; Panel (c) shows the results for the sales ratio of low-return products.

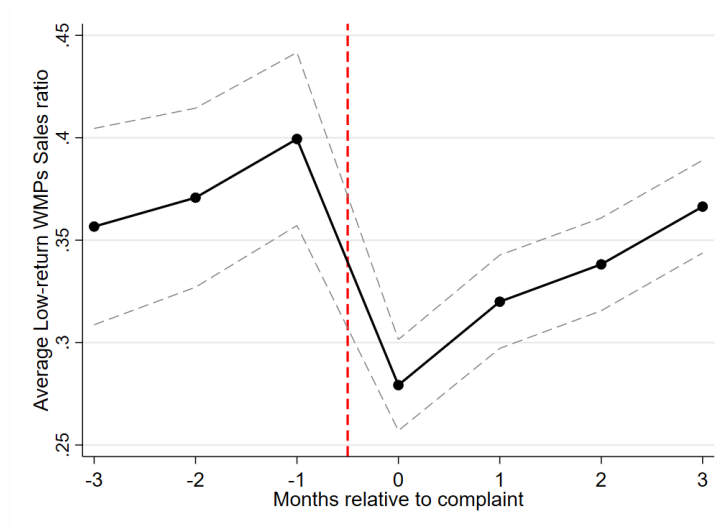


Figure 3. **Misselling** surrounding client complaints

Note: This figure illustrates the dynamics of the average sales ratio of low-return Wealth Management Products (WMPs) around the month of a formal client complaint. The horizontal axis represents months relative to the complaint event, where Month 0 is the month in which the complaint was filed. The vertical red dashed line is placed between Month -1 and Month 0 to denote the onset of the complaint event. The solid line connects the monthly mean sales ratios, and the dashed lines represent the 95% confidence intervals calculated from the standard errors of the means. The sample is restricted to clients who are associated with financial advisors. The event window is capped at three months before and after the complaint month.

Table 1. Summary statistics

	N	Mean	Std. Dev.	Min	p50	Max
Advisor-Month						
Missed quota	6,015	0.26	0.44	0	0	1
Quota (in 1,000 RMB)	6,015	763.60	668.90	0	780.00	2,210.00
Simulated profits (in 1,000 RMB)	6,015	854.82	1,028.56	0	630.29	10,225.14
Monthly bonus (in 1,000 RMB)	6,015	3.03	3.65	0	2.24	33.40
Client loan (in 1,000 RMB)	6,015	9,867.66	25,654.94	0	87.00	397,830.84
Firm loan (in 1,000 RMB)	6,015	28.28	129.45	0	0	1,851.10
Advisor experience (month)	6,015	139.65	68.27	22	126	475
Advisor gender (is male)	6,015	0.30	0.46	0	0	1
Client-Advisor-Month						
Missed quota	71,722	0.14	0.35	0	0	1
Sales volume – all WMPs (in 1,000 RMB)	71,722	754.77	3,765.35	0	77.00	228,064.98
Sales dummy – all WMPs	71,722	0.56	0.50	0	1	1
Sales dummy – low-return WMPs	71,722	0.48	0.50	0	0	1
Sales volume – low-return WMPs (in 1,000 RMB)	71,722	558.36	3,530.04	0	0	227,564.98
Sales ratio – low-return WMPs	71,722	0.36	0.42	0	0	1
Sales dummy – high-return WMPs	71,722	0.20	0.40	0	0	1
Sales volume – high-return WMPs (in 1,000 RMB)	71,722	88.50	453.62	0	0	12,980.00
Sales ratio – high-return WMPs	71,722	0.08	0.22	0	0	1
Client complaints – all	71,722	0.03	0.16	0	0	1
Client complaints – product	71,722	0.02	0.15	0	0	1
Client complaints – service	71,722	0.02	0.14	0	0	1
Client experience (month)	71,722	52.91	36.67	0	54	212
Client risk appetite (1-5)	70,240	3.01	1.17	1	3	5
Client wealth (in 1,000 RMB, daily average)	71,722	552.67	1,096.50	0	213.41	27,819.52
Client age	71,722	52.79	14.81	18	54	95
Client gender (is male)	70,682	0.44	0.50	0	0	1

Table 2. **Quota pressure and misselling**

This table examines the effect of quota pressure on misselling at the client-advisor-month level, using data from 5,518 clients matched to 463 financial advisors between June 2019 and June 2020. Each client is served by a single advisor, and no client-advisor pairings change during the sample period. Columns 1–3 report results for misselling, measured by the sales of low-return WMPs (i.e., those offering the lowest expected return within each product type-maturity category). Three sales measures are constructed as dependent variables: (1) *sales dummy*, equal to one if any sales of low-return WMPs occurred during the month; (2) *sales volume*, defined as the log of total volume (in RMB) of low-return WMPs sold plus one; and (3) *sales ratio*, defined as the volume of low-return WMPs sold divided by the total volume of WMPs sold. Columns 4–6 focus on the sales of high-return WMPs (i.e., those offering the highest return within each product type-maturity category), serving as placebo tests. The key independent variable, *Missed quota*, is a binary indicator equal to one if the advisor failed to meet their sales target in the previous month. All regressions include the following control variables: lagged advisor compensation (log+1), lagged size of retail client loans (log+1), and lagged size of corporate loans (log+1) under the advisor’s account. Client-advisor fixed effects and year-month fixed effects are included. Standard errors are clustered at the client level. ***, **, and * denote statistical significance at the 1%, 5%, and 10% levels, respectively.

	Misselling: Low-return WMPs			Placebo: High-return WMPs		
	Sales dummy (1)	Sales volume (2)	Sales ratio (3)	Sales dummy (4)	Sales volume (5)	Sales ratio (6)
Missed quota	0.027*** (0.008)	0.307*** (0.101)	0.027*** (0.008)	-0.008 (0.006)	-0.117 (0.072)	-0.005 (0.003)
Advisor compensation	-0.002 (0.002)	-0.026 (0.023)	-0.001 (0.002)	-0.002 (0.002)	-0.022 (0.021)	-0.001 (0.001)
Client loan	-0.002 (0.002)	-0.015 (0.022)	-0.003* (0.002)	0.001 (0.001)	0.017 (0.018)	-0.001 (0.001)
Firm loan	0.003** (0.002)	0.037** (0.019)	0.003** (0.001)	0.000 (0.001)	0.015 (0.015)	0.001 (0.001)
Client-advisor FE	Yes	Yes	Yes	Yes	Yes	Yes
Year-month FE	Yes	Yes	Yes	Yes	Yes	Yes
Observations	66,198	66,198	66,198	66,198	66,198	66,198
Adjusted R-squared	0.760	0.786	0.724	0.750	0.760	0.684

Table 3. **Peer pressure and misselling**

This table presents a DiD analysis leveraging an exogenous shock to peer group size within *The Bank*. In November 2019, a significant reorganization of branch families took place: 44 of the 63 branches in our sample were merged into larger families, 12 into smaller families, and 7 remained unchanged. The treatment variable, *Enlarged Group*, is a binary indicator equal to one for financial advisors in the 44 branches that merged into larger branch families, and zero otherwise. The *Post-Nov2019* dummy equals one for observations from November 2019 onward, and zero otherwise. The regressions are estimated at the client-advisor-month level, covering 5,518 clients matched to 463 advisors from June 2019 to June 2020. In columns 1-3, the dependent variables are measures of the sales of low-return WMPs, including: (1) *sales dummy*, equal to one if any sales of low-return WMPs occurred during the month; (2) *sales volume*, defined as the log of total volume (in RMB) of low-return WMPs sold plus one; and (3) *sales ratio*, defined as the volume of low-return WMPs sold divided by the total volume of WMPs sold. In columns 4-6, the dependent variables are measures of the sales of high-return WMPs, which serve as placebo tests. All regressions include *Missed quota*, as well as control variables identical to those in Table 2. Client-advisor and year-month fixed effects are included. Standard errors are clustered at the client level. ***, **, and * denote statistical significance at the 1%, 5%, and 10% levels, respectively.

	Misselling: Low-return WMPs			Placebo: High-return WMPs		
	Sales dummy (1)	Sales volume (2)	Sales ratio (3)	Sales dummy (4)	Sales volume (5)	Sales ratio (6)
Enlarged group $\times$ Post-Nov2019	0.063*** (0.021)	0.749*** (0.251)	0.045** (0.019)	-0.004 (0.020)	-0.093 (0.252)	-0.016 (0.013)
Missed quota	0.027*** (0.008)	0.302*** (0.101)	0.027*** (0.008)	-0.008 (0.006)	-0.116 (0.071)	-0.005 (0.003)
Controls	Yes	Yes	Yes	Yes	Yes	Yes
Client-advisor FE	Yes	Yes	Yes	Yes	Yes	Yes
Year-month FE	Yes	Yes	Yes	Yes	Yes	Yes
Observations	66,198	66,198	66,198	66,198	66,198	66,198
Adjusted R-squared	0.761	0.786	0.724	0.750	0.760	0.684

Table 4. **Promotion prospects and misselling**

This table examines the effect of promotion incentives on misselling, employing a DiD method. The regressions use the sample of advanced-level advisors, where the treatment group comprises the top 5% of advanced-level advisors selected for promotion consideration, and the post-treatment period begins in January 2020. In columns 1-3, the dependent variables are measures of the sales of low-return WMPs, including: (1) *sales dummy*, equal to one if any sales of low-return WMPs occurred during the month; (2) *sales volume*, defined as the log of total volume (in RMB) of low-return WMPs sold plus one; and (3) *sales ratio*, defined as the volume of low-return WMPs sold divided by the total volume of WMPs sold. In columns 4-6, the dependent variables are measures of the sales of high-return WMPs, which serve as placebo tests. All regressions include *Missed quota*, as well as control variables identical to those in Table 2. Client-advisor and year-month fixed effects are included. Standard errors are clustered at the client level. ***, **, and * denote statistical significance at the 1%, 5%, and 10% levels, respectively.

	Misselling: Low-return WMPs			Placebo: High-return WMPs		
	Sales dummy (1)	Sales volume (2)	Sales ratio (3)	Sales dummy (4)	Sales volume (5)	Sales ratio (6)
Top 5% (adv.) $\times$ Post-Jan2020	0.034** (0.014)	0.380** (0.173)	0.018 (0.013)	-0.010 (0.012)	-0.133 (0.140)	-0.011 (0.007)
Missed quota	0.039*** (0.010)	0.438*** (0.126)	0.043*** (0.009)	-0.012* (0.007)	-0.157* (0.083)	-0.007* (0.004)
Controls	Yes	Yes	Yes	Yes	Yes	Yes
Client-advisor FE	Yes	Yes	Yes	Yes	Yes	Yes
Year-month FE	Yes	Yes	Yes	Yes	Yes	Yes
Observations	43,680	43,680	43,680	43,680	43,680	43,680
Adjusted R-squared	0.761	0.786	0.726	0.745	0.756	0.687

Table 5. **Client complaints**

This table examines how client complaints moderate the effects of quota pressure on misselling. Columns 1 and 2 focus on all complaints, with the Complaint (*all*) indicator equaling one if the advisor's branch received any client complaints (regarding products or services) in the month. Columns 3 and 4 focus on complaints regarding advisor services. Columns 5 and 6 focus on complaints regarding products. In columns 1, 3, and 5, the dependent variable is the sales ratio of low-return WMPs, defined as the volume of low-return WMPs sold divided by the total volume of WMPs sold in a given client-month. In columns 2, 4, and 6, the dependent variable is the sales ratio of high-return WMPs, which serve as placebo tests. The key independent variable is *Missed quota*, a binary indicator equal to one if advisor *i* failed to meet their sales target in month $t - 1$. All regressions include control variables identical to those in Table 2. Client-advisor and year-month fixed effects are included. Standard errors are clustered at the client level. ***, **, and * denote statistical significance at the 1%, 5%, and 10% levels, respectively.

	All complaints		Complaints regarding services		Complaints regarding products	
	Low. WMPs Sales ratio (1)	High. WMPs Sales ratio (2)	Low. WMPs Sales ratio (3)	High. WMPs Sales ratio (4)	Low. WMPs Sales ratio (5)	High. WMPs Sales ratio (6)
Missed quota	0.028*** (0.008)	-0.005 (0.003)	0.028*** (0.008)	-0.005 (0.003)	0.028*** (0.008)	-0.005 (0.003)
Missed quota $\times$ Complaint (all)	-0.047** (0.023)	0.004 (0.010)				
Complaint (all)	0.027*** (0.009)	-0.008 (0.006)				
Missed quota $\times$ Complaint (service)			-0.065** (0.028)	-0.002 (0.012)		
Complaint (service)			0.044*** (0.013)	-0.02 (0.008)		
Missed quota $\times$ Complaint (product)					-0.046* (0.024)	0.003 (0.011)
Complaint (product)					0.022** (0.009)	-0.008 (0.006)
Controls	Yes	Yes	Yes	Yes	Yes	Yes
Client-advisor FE	Yes	Yes	Yes	Yes	Yes	Yes
Year-month FE	Yes	Yes	Yes	Yes	Yes	Yes
Observations	66,198	66,198	66,198	66,198	66,198	66,198
Adjusted R-squared	0.724	0.684	0.724	0.684	0.724	0.684

Table 6. **Fund outflow and counterfactual return gap**

Panel A examines whether clients discipline misselling through fund reallocation. In columns (1)-(2), the dependent variable is a client-level outflow indicator equal to one if the client's total wealth declines relative to the previous month (i.e., the month-over-month growth rate of wealth is negative), and zero otherwise. Columns (3)-(4) use an analogous advisor-level measure that indicates whether the advisor's total assets under management (AUM) fall from the prior month. The key independent variables are: (i) *Missed quota*; (ii) *Sales ratio of low-return WMPs*, i.e. the misselling ratio within an advisor-client pair in the previous month; and (iii) *Avg. sales ratio of low-return WMPs*, the advisor's average misselling ratio in the previous month. Panel B conducts a counterfactual exercise, estimating the return gap between the maximum return the client could have earned by purchasing the highest-return product in the relevant choice set and the realized return. We use two dependent variables: (i) *Return gap (weighted)* measures the annualized difference between the theoretical maximum potential return and the actual realized return of a client's investment portfolio, weighted by the investment amount of each product. Specifically, for each client i in month t , we calculate the value-weighted average of the maximum possible monthly returns of all products held and subtract the value-weighted average of the actual monthly returns. The resulting monthly gap is then multiplied by 12 to annualize and by 100 to express it as a percentage; (ii) *Return gap (average)* is the equal-weighted version of the return gap. Control variables and model specification are identical to those of Table 2. Standard errors are clustered at the client level (except for column (3)-(4) of Panel B at the advisor level). ***, **, and * denote statistical significance at the 1%, 5%, and 10% levels, respectively.

Panel A. Fund outflow

	AUM outflow (client)		AUM outflow (advisor)	
	(1)	(2)	(3)	(4)
Missed quota $_{t-1}$	0.013 (0.010)		0.002 (0.025)	
Sales ratio of low-return WMPs $_{t-1}$		-0.006 (0.007)		
Avg sales ratio of low-return WMPs $_{t-1}$				-0.039 (0.035)
Controls	Yes	Yes	Yes	Yes
Client-advisor FE	Yes	Yes		
Advisor FE			Yes	Yes
Year-month FE	Yes	Yes	Yes	Yes
Observations	66,198	66,198	5,550	5,550
Adjusted R^2	0.167	0.166	0.141	0.142

Panel B. Return gap relative to high-return WMPs

	Return gap (weighted, %) (1)	Return gap (average, %) (2)
Missed quota $_{t-1}$	0.013*** (0.005)	0.012*** (0.004)
Controls	Yes	Yes
Client-advisor FE	Yes	Yes
Year-month FE	Yes	Yes
Observations	66,198	66,198
Adjusted R-squared	0.713	0.719

Table 7. **Experience**

This table examines how the effect of quota pressure on misselling varies by client investment experience (Panel A), adviser work experience (Panel B), and the client-adviser experience match (Panel C). Clients are classified as *experienced* if they have held an account at *The Bank* for more than 6.9 years (top quantile). Advisers are classified as *experienced* if they have worked in the financial industry for more than 11.7 years (top quantile). In each panel, we report results for (i) misselling, measured by the sales ratio of low-return WMPs, defined as low-return WMP sales divided by total WMP sales in a given client-month, and (ii) the sales ratio of high-return WMPs, which serves as a placebo outcome. The key independent variable is *Missed quota*, an indicator equal to one if adviser i failed to meet the sales target in month $t - 1$. All regressions include the same control variables as in Table 2. Client-advisor and year-month fixed effects are included. Standard errors are clustered at the client level. ***, **, and * denote statistical significance at the 1%, 5%, and 10% levels, respectively.

	Misselling: Low-return WMPs Sales ratio (1)	Placebo: High-return WMPs Sales ratio (2)
Panel A. Investment experience of client		
Missed quota	0.038*** (0.009)	-0.003 (0.004)
Missed quota $\times$ Experienced client	-0.034*** (0.013)	-0.007 (0.008)
Experienced client	-0.000 (0.014)	-0.013** (0.006)
Controls	Yes	Yes
Client-advisor FE	Yes	Yes
Year-month FE	Yes	Yes
Observations	66,198	66,198
Adjusted R-squared	0.724	0.684
Panel B. Working experience of advisor		
Missed quota	0.019** (0.009)	-0.002 (0.004)
Missed quota $\times$ Experienced advisor	0.023 (0.016)	-0.009 (0.007)
Experienced advisor	0.036** (0.016)	0.003 (0.010)
Controls	Yes	Yes
Client-advisor FE	Yes	Yes
Year-month FE	Yes	Yes
Observations	66,198	66,198
Adjusted R-squared	0.724	0.684

Table 7. **Experience (continued)**

Panel C. Client-advisor experience match		Experienced advisor– Experienced client		Novice advisor– Experienced client		Experienced advisor– Novice client		Novice advisor– Novice client	
		Low. WMPs	High. WMPs	Low. WMPs	High. WMPs	Low. WMPs	High. WMPs	Low. WMPs	High. WMPs
		Sales ratio	Sales ratio	Sales ratio	Sales ratio	Sales ratio	Sales ratio	Sales ratio	Sales ratio
		(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)
Missed quota		0.003 (0.017)	-0.012 (0.009)	-0.023* (0.013)	-0.001 (0.006)	0.063*** (0.017)	-0.005 (0.007)	0.028** (0.012)	-0.003 (0.006)
Controls		Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Client-advisor FE		Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Year-month FE		Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Observations		5,415	5,415	11,564	11,564	12,356	12,356	36,697	36,697
Adjusted R-squared		0.827	0.724	0.792	0.720	0.788	0.747	0.708	0.688

Table 8. **Client wealth**

This table examines how client wealth level influences misselling behavior. Clients are categorized based on their average daily asset holdings in *The Bank* in the previous month: *premium clients* hold more than RMB 500,000, while *private banking clients* hold more than RMB 6 million. In column 1, the dependent variable is the sales ratio of low-return WMPs, defined as the volume of low-return WMPs sold divided by the total volume of WMPs sold in a given client-month. In column 2, the dependent variable is the sales ratio of high-return WMPs, which serves as a placebo test. The key independent variable is *Missed quota*, a binary indicator equal to one if advisor i failed to meet their sales target in month $t - 1$. All regressions include control variables identical to those in Table 2. Client-advisor and year-month fixed effects are included. Standard errors are clustered at the client level. ***, **, and * denote statistical significance at the 1%, 5%, and 10% levels, respectively.

	Misselling: Low-return WMPs Sales ratio (1)	Placebo: High-return WMPs Sales ratio (2)
Missed quota	0.022*** (0.008)	-0.003 (0.004)
Missed quota $\times$ Premium Client	0.015 (0.015)	-0.005 (0.009)
Premium Client	0.078*** (0.010)	0.014** (0.006)
Missed quota $\times$ Private banking Client	0.126** (0.056)	-0.004 (0.019)
Private Banking Client	-0.003 (0.035)	-0.031 (0.022)
Controls	Yes	Yes
Client-advisor FE	Yes	Yes
Year-month FE	Yes	Yes
Observations	66,198	66,198
Adjusted R-squared	0.725	0.684

Table 9. **Advisor-client gender match**

This table examines how the impact of quota pressure on misselling varies with the match between client and advisor gender pair. In each pair, we report results for (i) misselling, measured by the sales ratio of low-return WMPs, defined as low-return WMP sales divided by total WMP sales in a given client-month-and (ii) the sales ratio of high-return WMPs, which serves as a placebo outcome. The key independent variable is *Missed quota*, a binary indicator equal to one if advisor i failed to meet their sales target in month $t - 1$. All regressions include control variables identical to those in Table 2. Client-advisor and year-month fixed effects are included. Standard errors are clustered at the client level. ***, **, and * denote statistical significance at the 1%, 5%, and 10% levels, respectively.

Panel C. Client-advisor gender match

	Male advisor - Male client		Female advisor - Male client		Male advisor - Female client		Female advisor - Female client	
	Low. WMPs Sales ratio (1)	High. WMPs Sales ratio (2)	Low. WMPs Sales ratio (3)	High. WMPs Sales ratio (4)	Low. WMPs Sales ratio (5)	High. WMPs Sales ratio (6)	Low. WMPs Sales ratio (7)	High. WMPs Sales ratio (8)
Missed quota	-0.006 (0.015)	-0.002 (0.004)	0.065*** (0.018)	0.006 (0.007)	0.019 (0.012)	-0.012 (0.008)	0.016 (0.013)	-0.008 (0.006)
Controls	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Client-advisor FE	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Year-month FE	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Observations	4,035	4,035	24,738	24,738	4,545	4,545	31,920	31,920
Adjusted R-squared	0.761	0.738	0.730	0.688	0.744	0.689	0.712	0.674

**Appendices for
Misselling in Financial Advice under
Universal Banking**

Appendix A Additional results

Appendix A.1 Information asymmetry created by The Bank

Why clients, even assuming implicit guarantees, might not invariably select the highest-yielding WMP?

Imperfect information is a necessary condition for moral hazard in principal-agent settings to arise (Holmström, 1979; Bolton, Freixas, and Shapiro, 2007; Mehran and Stulz, 2007; Povel and Strobl, 2024). To steer clients towards financial advisors, universal banks intentionally obfuscate product details or complicate information access, for example, through complex digital interfaces (Célérier and Vallée, 2017; Brancaccio and Kang, 2025).²⁸ Additionally, banks often publicly advertise only a limited selection of WMPs, reserving a wider array of products for discussion and exclusive offering through direct advisor consultations. At *The Bank*, clients receive product options within categories consistent with their declared risk appetite. Within these risk-matched offerings, the choice set is further constrained by products that are readily available or actively recommended by advisors.

Appendix A.2 WMPs with different risk levels

Our study focuses exclusively on low-risk WMPs²⁹, whose underlying assets primarily comprise money market instruments, bonds, and equities. We explicitly exclude high-risk, trust-based WMPs³⁰ from our analysis for several reasons. Trust products are inherently riskier and subject to more stringent investor eligibility requirements. At *The Bank*, for example, they are offered exclusively to qualified investors with net assets of at least RMB 5 million and a minimum investment of RMB 1 million. These substantial financial thresholds create a distinct investor base and different client-advisor interaction dynamics compared to those for lower-risk WMPs. Moreover, unlike low-risk WMPs

²⁸In Chinese WMP markets, crucial product details, such as the precise composition of underlying assets, are frequently opaque or not readily disclosed.

²⁹Commonly referred to in Chinese as *licaichanpin*, whose direct translation is also Wealth Management Products. High-risk WMPs, or trust products, are named *xintuo* in Chinese.

³⁰Trust products are issued by trust companies, typically backed by projects in real estate development, infrastructure, and corporate loans. They were believed to play a prominent role in fueling the rapid growth of China’s shadow banking sector and real estate markets (Allen, Gu, Li, Qian, and Qian, 2023; Bloomberg News, 2019, 2021).

that typically disclose a single expected return, many trust products specify a range of expected returns. This return variability in trust products complicates the systematic identification of misselling, further justifying their exclusion.

Appendix A.3 Regulatory landscape of Implicit guarantees

Implicit guarantees in China emerged as a form of regulatory arbitrage during the 2000s, particularly following the 2008 financial crisis ([Allen et al., 2023](#)). Faced with strict controls on deposit interest rates, universal banks sought alternative channels to attract funds by offering higher-yielding products. WMPs served this purpose well. As WMPs are classified as financial market instruments, banks were able to bypass regulatory constraints such as the loan-to-deposit ratio and risk provisioning rules ([Chen, Ren, and Zha, 2018](#)). This flexibility allowed them to invest in high-yield, high-risk sectors like real estate, thereby offering attractive returns to investors.

For years, regulators tolerated these implicit guarantees because WMPs played a vital role in supporting economic growth and alleviating pressure on the formal banking system, notably by facilitating credit access for non-state-owned enterprises ([Allen et al., 2023](#)). By the mid-2010s, however, growing concerns over moral hazard began to draw serious attention ([Bloomberg News, 2017](#)). The belief among investors that they would invariably be bailed out led them to allocate capital to high-yield, high-risk assets without demanding returns commensurate with the underlying risk.

In response to these concerns, Chinese regulators introduced reforms aimed at dismantling the implicit guarantee regime. The Asset Management Rules (*Ziguan Xingui*), issued in April 2018, explicitly prohibited financial institutions from offering or implying guaranteed returns ([People’s Bank of China, China Banking and Insurance Regulatory Commission, China Securities Regulatory Commission, and State Administration of Foreign Exchange, 2018](#)). Although the transition period for full compliance was initially set to conclude in 2020, it was extended to 2021 due to the COVID-19 pandemic ([People’s Bank of China, 2020](#)). Nevertheless, despite these regulatory efforts, implicit guarantees persisted widely in practice. Crucially for this study, until the end of our sample period, *The Bank* had consistently delivered the promised return on all its WMPs.

Appendix A.4 Robustness checks for performance pressure effects

Appendix Table B3 examines advisor behavior following consecutive quota misses. At *The Bank*, missing the quota for one or two consecutive months leads to the loss of bonus eligibility but carries no formal sanctions. By contrast, missing the quota for three consecutive months triggers a human-resources review, during which the advisor’s level may be reassessed. The results indicate that advisors exhibit tendency to increase misselling after two consecutive misses, with an effect magnitude similar to the missing quota for just one month (baseline) case. After three consecutive misses when advisors are already subject to HR review, we find no evidence of increased misselling. This test is important as it shows that quotas are a necessary condition for misselling incentives, but they are not sufficient: when an adviser perceives the shortfall as hopeless to remedy, misselling does not increase and the “pressure point” effectively disappears.

For robustness, Appendix Table B4 reports results using an active client sample. This sample differentiates from the main analysis by excluding client-months in which no WMP transactions occurred for three or more consecutive months (e.g., due to funds being invested and not yet matured). The results confirm the robustness of our main findings, with larger estimated magnitudes within this active client sample.

As a placebo test, Appendix Table B5 replicates Table 2 using active unadvised clients. The hypothesis is that advisors would not target these clients for misselling, as their transactions would not contribute to the advisor’s performance metrics. We construct a hypothetical *Missed quota* variable for each client-month, defined as the average Missed quota for the branch where the client opened their account. The results confirm no significant variation in the purchase of low-return products among unadvised clients.

Appendix Table B6 investigates whether quota pressure effectively boosts advisor performance, measured by the growth in completion rate (the month-over-month change in the ratio of simulated profits to the sales quota). The results indicate that advisors who missed their quota in the previous month achieve significantly greater growth in their completion rates in the current month. Specifically, advisors who underperformed in the prior month increased their completion rate by 0.41 (column 1), or 41% of their target.

This effect is substantial, particularly given that the average growth in completion rate is close to zero.

As additional robustness checks, Appendix Table B7 shows that our main results remain intact after accounting for COVID-19 lockdown periods in Beijing. Appendix Table B8 examines how performance pressure affects WMP sales across all products based on the return distribution. We sort all WMPs into quartiles based on their expected (implicitly guaranteed) returns. The results show that the increase in sales following a quota miss is concentrated in the bottom quartile, i.e., the most suboptimal products. Effects for the middle quartiles (Q2 and Q3) are statistically insignificant. We find only weak evidence of increased sales in the top quartile, which may reflect a general increase in effort, such as expanding the client base, rather than targeted steering toward high-return products.

Appendix A.5 Literature on gender differences in misselling

From the client perspective, recent research documents that female clients may face discrimination from financial advisors due to perceived lower financial literacy (Baeckström, Marsh, and Silvester, 2021; Bhattacharya, Kumar, Visaria, and Zhao, 2024; Bucher-Koenen, Hackethal, Koenen, and Laudenbach, 2025). However, findings on women’s investment behavior are inconclusive. While some studies indicate women often exhibit greater caution in investment decisions (Byder, Agudelo, and Arango, 2019), others suggest they might be more prone to certain irrational purchasing behaviors (Coley and Burgess, 2003). Conversely, although men tend to display higher overconfidence (a potential irrationality), Kramer (2016) notes that highly self-confident individuals (often men) are less inclined to seek financial advice, which could paradoxically increase their misselling vulnerability when they do interact with advisors.

On the advisor side, Egan, Matvos, and Seru (2022) document a gender punishment gap in the financial advisory industry, where female advisors are more likely to lose their jobs following misconduct. This could heighten the perceived risks of misselling for female advisors. In addition, gender differences in responses to stress are well-documented but inconclusive. For example, men are often more motivated to improve performance under pressure (Niederle and Vesterlund, 2011), yet they also exhibit higher levels of

overconfidence ([Barber and Odean, 2001](#)), which may dampen the effects of performance pressure.

Appendix A.6 Global regulatory frameworks

To mitigate conflicts of interest, global regulators generally employ a common toolkit consisting of three pillars: mandatory disclosure of commission structures, caps and bans on inducements, and the imposition of conduct standards, such as a fiduciary duty.

In the United States, financial advisors are primarily categorized into two distinct entities governed by different legal frameworks (see [Honigsberg, Jackson, Karp, and Sokolinski \(2025\)](#) for detailed explanations).

FINRA-Registered Brokers. These advisors act as registered representatives of broker-dealer (BD) firms, overseen by FINRA and the SEC. Historically, they were held to a suitability standard and compensated via linear commissions. FINRA specifically identifies that compensation grids, recognition programs (e.g., “President’s Club”), and recruitment bonuses can intensify conflicts of interest as representatives approach key performance milestones. Effective supervision thus requires targeted surveillance of representatives near these thresholds, particularly in the three months preceding a bonus date, to detect “production spikes”, shifts toward high-commission products, or potential churning.

Under the Regulation Best Interest (Reg BI, 2019) mandate, brokers are now subject to a “Best Interest” standard. This requires reasonable diligence, care, and skill in making recommendations. While higher than the prior suitability standard, it remains distinct from a full fiduciary duty. Crucially, Reg BI requires firms to implement policies that identify and eliminate sales contests, quotas, and bonuses tied to specific securities within limited timeframes.

Registered Investment Advisers (RIAs). RIAs operate with greater independence, providing securities-related advice for compensation. Registered with the SEC or state authorities, they are held to the most rigorous fiduciary standard. Their compensation is typically structured as advisory fees based on Assets Under Management (AUM), theoretically aligning their interests with the long-term growth of the client’s portfolio.

In contrast to the U.S. model, wealth management in Europe and Asia is characterized by a universal banking system. Here, advisors are formal employees of the bank rather

than independent agents. In this regime, conflicts of interest manifest not necessarily through third-party commissions, but through other forms of inducement such as bonus as well as internal institutional pressures.

In the European Union, MiFID II (2018) mandates research fee unbundling, i.e. the separation of research costs from transaction execution fees. To eliminate hidden subsidies funded by client assets, firms must now finance research either through their own P&L or via transparent Research Payment Accounts (RPAs). It also imposes internal remuneration oversight. Now, firms are prohibited from using compensation or sales targets that conflict with the “best interest of the client”. Specifically, internal appraisal systems must not incentivize advisors to prioritize specific financial instruments over products that better align with individual client needs. For advisors claiming to provide “independent advice”, MiFID II strictly prohibits the receipt or retention of inducements (commissions or kickbacks) from third parties. Any such payments must be fully rebated to the client to ensure that the advice remains untainted by manufacturing-side incentives.

In the U.K., the Retail Distribution Review (RDR, 2013) fundamentally reshaped the market by banning third-party commissions, requiring advisors to be compensated directly by clients through transparent fee structures. Building upon this, the Financial Conduct Authority (FCA) implemented the Consumer Duty in 2023, marking a pivotal shift from process-oriented compliance to outcome-based regulation. This new standard mandates that firms proactively deliver “good outcomes” for retail customers, specifically focusing on “price and value”. Under this regime, firms must demonstrate that their products provide fair value—defined as a reasonable relationship between the price paid and the benefits received.

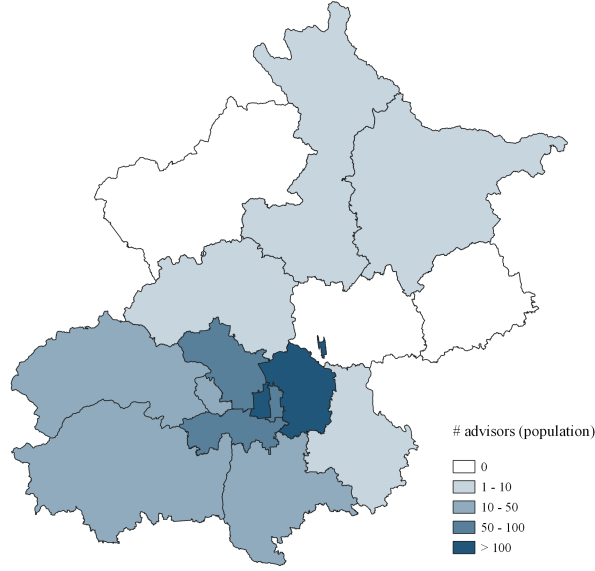
In Australia, the Future of Financial Advice (FOFA, 2013) reforms introduced (i) a ban on conflicted remuneration, (ii) a statutory best interests duty, and (iii) an annual Fee Disclosure Statement (FDS) requiring advisers to clearly disclose total fees charged over the past 12 months and the services provided. FOFA also imposed soft-dollar limits, prohibiting non-cash benefits above AUD 300.

Appendix A.7 The imperfection of regulation

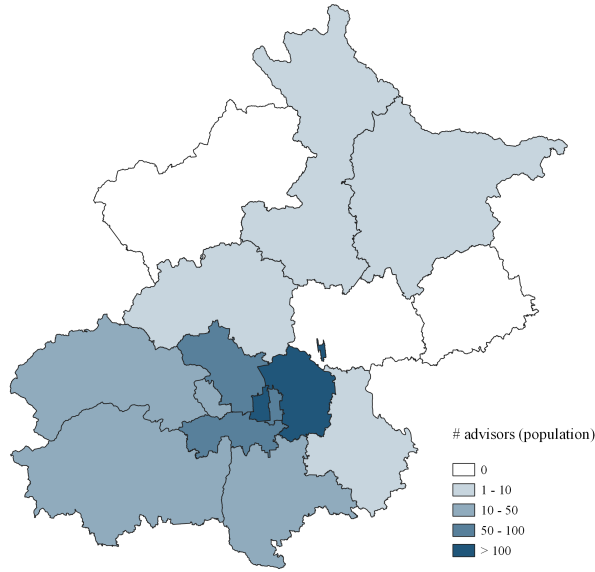
Academic literature highlights that these regulatory interventions are often imperfect. Disclosure, while standard, can paradoxically undermine trust ([Deserranno, León-Ciliotta, and Witoelar, 2025](#)) or lead to “moral licensing” where advisors feel that having disclosed a conflict, they are now permitted to provide even more biased advice ([Loewenstein, Cain, and Sah, 2011](#)). Clients may also suffer from “insinuation anxiety”, feeling pressured to follow biased advice to avoid appearing as though they are questioning the advisor’s honesty ([Loewenstein et al., 2011](#); [Sah and Loewenstein, 2014](#)). The effectiveness of regulation is heavily moderated by financial literacy ([Chang and Szydlowski, 2020](#); [Battiston, Blanes i Vidal, Hortalà-Vallvé, and Lou, 2025](#); [Inderst and Ottaviani, 2012](#)). Furthermore, the efficacy of such mandates is often undermined by regulatory leakage, as advisors demonstrate significant strategic adaptability in developing sophisticated workarounds to circumvent new rules ([Anagol et al., 2017](#); [Honigsberg et al., 2025](#)).

Most critically, strict commission bans and fiduciary standards are widely documented to cause an “advice gap”, as advisors exit the market due to increased compliance costs and reduced margins ([Edelen, Evans, Kadach, and Shum, 2025](#); [Inderst and Ottaviani, 2012](#); [Linnainmaa, Melzer, Previtero, and Foerster, 2023](#); [Sokolinski, 2023](#)). For example, in the UK, the implementation of RDR led to a decrease in the number of financial advisors from approximately 40,000 in 2011 to 31,000 in 2014 ([Reuter and Schoar, 2024](#)).

Appendix B Figures and tables



(a) *Full sample*



(b) *Random draw sample (regression sample)*

Figure B1. **Distribution of advisors**

Note: The figures depict the distribution of number of advisors in Beijing. Panel A corresponds to the full sample number (620 advisors) and Panel B corresponds to the random draw sample (463 advisors), i.e., the regression sample.

Table B1. Summary statistics: active advised and unadvised client samples

This table presents summary statistics for advised and unadvised client samples, as well as t -tests for cross-sample differences. To address the issue that an important proportion of unadvised clients are inactive in trading and depositing, the table focuses on “active” client-months, defined by excluding periods where no WMP purchases occurred for over three consecutive months. For the unadvised client sample, *missed quota* for a given client-month is hypothetically constructed as the average branch-level missed quota associated with that client’s primary branch. The *Client risk appetite* variable exhibits significant missing data among unadvised clients, as risk surveys are primarily completed when clients engage with an advisor.

	Advised clients			Unadvised clients			T-test Diff.
	N	Mean	Std. Dev.	N	Mean	Std. Dev.	
Client-Advisor-Month							
Missed quota	48,153	0.13	0.34	41,446	0.18	0.17	-0.048***
Sales volume - all WMPs (in 1,000 RMB)	48,153	1124.19	4549.97	41,446	416.07	2102.37	708.120***
Sales dummy - all WMPs	48,153	0.83	0.37	41,446	0.35	0.48	0.485***
Sales dummy - low-return WMPs	48,153	0.71	0.45	41,446	0.30	0.46	0.414***
Sales volume - low-return WMPs (in 1,000 RMB)	48,153	831.66	4281.73	41,446	289.34	1782.27	542.321***
Sales ratio - low-return WMPs	48,153	0.54	0.41	41,446	0.22	0.37	0.316***
Sales dummy - high-return WMPs	48,153	0.30	0.46	41,446	0.13	0.33	0.172***
Sales volume - high-return WMPs (in 1,000 RMB)	48,153	131.81	548.44	41,446	54.06	399.34	77.754***
Sales ratio - high-return WMPs	48,153	0.12	0.25	41,446	0.05	0.17	0.072***
Client experience (month)	48,153	52.60	35.96	41,446	51.22	34.91	1.377**
Client risk appetite (1-5)	47,925	3.05	0.75	17,805	3.15	0.77	-0.103***
Client wealth (in 1,000 RMB)	48,153	720.62	1237.39	41,446	322.87	993.01	397.740***
Client age	48,153	53.20	14.66	41,446	45.62	14.36	7.579***
Client gender	47,468	0.44	0.50	41,446	0.45	0.50	-0.009

Table B2. **Participation in WMP markets**

This table examines the asset composition of advised versus unadvised clients. Asset composition is measured by the deposit share of AUM; the remaining share reflects financial-market assets, primarily WMP holdings. Both deposits and AUM are computed using monthly average daily balances.

	Advised clients	Unadvised clients	Diff. mean
	Mean	Mean	
Deposit/AUM	0.335	0.829	-0.494 ^{***}
Observations	71,722	182,767	

Table B3. **Consecutive missing quota and misselling**

This table examines how persistent performance shortfalls affect advisor misselling behavior. The dependent variable in columns (1) and (3) is the sales ratio of low-return WMPs. The dependent variable in columns (2) and (4) is the sales ratio of high-return WMPs, serving as placebo. The key independent variables are indicators for whether an advisor misses the sales quota for two consecutive months or for three consecutive months. Controls and model specifications are identical to those in Table 2. Standard errors are clustered at the client level. ***, **, and * denote statistical significance at the 1%, 5%, and 10% levels, respectively.

	Sales ratio			
	Low-return WMPs	High-return WMPs	Low-return WMPs	High-return WMPs
	(1)	(2)	(3)	(4)
Missed quota for consecutive 2 months	0.023*** (0.008)	-0.006 (0.004)		
Missed quota for consecutive 3 months			0.013 (0.010)	-0.006 (0.005)
Controls	Yes	Yes	Yes	Yes
Client-advisor FE	Yes	Yes	Yes	Yes
Year-month FE	Yes	Yes	Yes	Yes
Observations	66,198	66,198	66,198	66,198
Adjusted R-squared	0.724	0.684	0.724	0.684

Table B4. **Quota pressure and misselling, active advised clients**

This table presents a robustness test of quota pressure effects on misselling. All variables and regression models are identical to those in Table 2, with the sole exception that the sample excludes “inactive” client-months, defined as periods where a client made no WMP transactions for three or more consecutive months. In all regressions, client-advisor fixed effects and year-month fixed effects are included. Standard errors are clustered at the client level. ***, **, and * denote statistical significance at the 1%, 5%, and 10% levels, respectively.

	Misselling: Low-return WMPs			Placebo: High-return WMPs		
	Sales dummy (1)	Sales volume (2)	Sales ratio (3)	Sales dummy (4)	Sales volume (5)	Sales ratio (6)
Missed quota	0.033*** (0.009)	0.359*** (0.108)	0.031*** (0.009)	-0.010 (0.009)	-0.134 (0.108)	-0.004 (0.005)
Advisor compens.	0.001 (0.002)	0.008 (0.027)	0.003 (0.002)	-0.006*** (0.002)	-0.073*** (0.028)	-0.002 (0.001)
Client loan	-0.002 (0.002)	-0.014 (0.021)	-0.002 (0.002)	0.001 (0.002)	0.013 (0.023)	-0.001 (0.001)
Firm loan	0.001 (0.002)	0.009 (0.021)	0.001 (0.002)	0.000 (0.002)	0.002 (0.023)	0.001 (0.001)
Client-advisor FE	Yes	Yes	Yes	Yes	Yes	Yes
Year-month FE	Yes	Yes	Yes	Yes	Yes	Yes
Observations	39,312	39,312	39,312	39,312	39,312	39,312
Adjusted R-squared	0.677	0.730	0.715	0.774	0.784	0.761

Table B5. **Quota pressure and misselling, active unadvised clients**

This table presents a placebo test of quota pressure effects on misselling, focusing on unadvised clients. The original full sample includes 14,059 random clients not assigned a financial advisor in *The Bank's* system. To maintain comparability, the regressions focus on active client-months, excluding periods with no WMP transactions for three or more consecutive months. Dependent variables are identical to those in Table 2. Given that unadvised clients lack individual advisors, independent variables are hypothetically constructed using branch-month averages. Accordingly, *Missed quota* is the average missed quota of the client's branch from the preceding month. Control variables are similarly proxied at the branch-month level. All regressions include client fixed effects and year-month fixed effects. Standard errors are clustered at the client level. ***, **, and * denote statistical significance at the 1%, 5%, and 10% levels, respectively.

	Misselling: Low-return WMPs			Placebo: High-return WMPs		
	Sales dummy (1)	Sales volume (2)	Sales ratio (3)	Sales dummy (4)	Sales volume (5)	Sales ratio (6)
Missed quota	0.029 (0.044)	0.376 (0.509)	0.015 (0.038)	0.024 (0.047)	0.402 (0.561)	-0.003 (0.022)
Advisor compens.	0.024 (0.022)	0.327 (0.253)	0.018 (0.020)	-0.010 (0.022)	-0.064 (0.266)	-0.009 (0.012)
Client loan	-0.020 (0.045)	-0.132 (0.543)	-0.032 (0.041)	0.070 (0.049)	0.747 (0.585)	0.022 (0.023)
Firm loan	-0.001 (0.002)	-0.017 (0.022)	-0.002 (0.002)	0.002 (0.003)	0.027 (0.033)	0.001 (0.001)
Client-advisor FE	Yes	Yes	Yes	Yes	Yes	Yes
Year-month FE	Yes	Yes	Yes	Yes	Yes	Yes
Observations	14,131	14,131	14,131	14,131	14,131	14,131
Adjusted R-squared	0.677	0.733	0.710	0.757	0.766	0.758

Table B6. **Quota pressure and performance (advisor level)**

This table tests whether quota pressure improves financial advisors' performance. Column 1 uses *Completion rate growth*, defined as the month-over-month change in the ratio of simulated profits to the sales quota. Column 2 uses the log difference of month-over-month completion rate. The key independent variable, *Missed quota*, equals one if the advisor failed to meet their sales target in the previous month. Control variables follow those in Table 2. The regression is at the advisor-month level, covering 463 advisors from June 2019 to June 2020. All regressions include advisor fixed effects and year-month fixed effects. Standard errors are clustered at the client level. ***, **, and * denote statistical significance at the 1%, 5%, and 10% levels, respectively.

	Completion rate growth (1)	Log diff. completion rate (2)
Missed quota	0.408*** (0.032)	0.252*** (0.023)
Controls	Yes	Yes
Advisor FE	Yes	Yes
Year-month FE	Yes	Yes
Observations	5,550	5,550
Adjusted R-squared	0.061	0.102
Mean of dep. var	-0.00	-0.00

Table B7. **Robustness: Covid influence**

This table examines the effect of performance pressure on misselling while accounting for COVID-19 lockdown in Beijing. Beijing activated a Level I (LI) public health emergency response on January 24, 2020, downgraded to Level II on April 30, 2020, and further to Level III on June 6, 2020; the response was upgraded back to Level II on June 16, 2020, and downgraded again to Level III on July 20, 2020. We replicate column (2) of Table 2 with the following adjustments: column (1) excludes the Level I period; column (2) excludes both the Level I and Level II periods; and column (3) and (4) include the full sample but adds district-by-time fixed effects and branch-by-time fixed effects, respectively, to absorb geographically localized pandemic shocks. Standard errors are clustered at the client level. ***, **, and * denote statistical significance at the 1%, 5%, and 10% levels, respectively.

	Sales ratio of low-return WMPs			
	Exclude LI (1)	Exclude LI&LII (2)	District*Time FE (3)	Branch*Time FE (4)
Missed quota	0.016 * (0.009)	0.017 * (0.009)	0.027 *** (0.008)	0.029 *** (0.008)
Controls	Yes	Yes	Yes	Yes
Client-advisor FE	Yes	Yes	Yes	Yes
Year-month FE	Yes	Yes		
District-yearmonth FE			Yes	
Branch-yearmonth FE				Yes
Observations	38,620	33,108	66,174	66,150
Adjusted R^2	0.706	0.759	0.724	0.724

Table B8. Missed quota and misselling by product quartile

This table examines how performance pressure affects the sale of WMPs across the return distribution. We sort all WMPs into quartiles based on their expected (implicitly guaranteed) returns. For each quartile, we compute a sales dummy, sales volume, and sales ratio for products in that quartile at the client-month level. Detailed definitions and the regression specifications mirror columns (1)-(3) of Table 2. All regressions include client-advisor and year-month fixed effects, with standard errors clustered at the client level. ***, **, and * denote statistical significance at the 1%, 5%, and 10% levels, respectively.

	Bottom (low-return) quartile			Q2 quartile			Q3 quartile			Top (high-return) quartile		
	Dummy (1)	Volume (2)	Ratio (3)	Dummy (4)	Volume (5)	Ratio (6)	Dummy (7)	Volume (8)	Ratio (9)	Dummy (10)	Volume (11)	Ratio (12)
Missed quota	0.035 *** (0.008)	0.398 *** (0.102)	0.035 ** (0.008)	0.002 (0.003)	0.022 (0.036)	0.000 (0.001)	-0.003 (0.003)	-0.036 (0.032)	-0.001 (0.000)	0.015 * (0.008)	0.151 (0.101)	0.014 * (0.007)
Controls	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Observations	66,198	66,198	66,198	66,198	66,198	66,198	66,198	66,198	66,198	66,198	66,198	66,198
Adjusted R^2	0.768	0.799	0.753	0.763	0.762	0.699	0.430	0.431	0.411	0.765	0.786	0.721
Client FE	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Month FE	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes

Table B9. **Peer pressure and misselling: PSM**

This table reports propensity-score-matched (PSM) estimates of the effect of peer pressure on mis-selling. The regressions re-estimates the specification in column (3) of Table 3, but restrict the control group to branches selected via PSM. We perform the matching at the branch-month level based on the branch-level means of all covariates to ensure the treated and control branches are comparable in their local economic and business environments. Columns (1) and (2) use 1:1 and 1:3 matching, respectively. All regressions include client-advisor and year-month fixed effects, with standard errors clustered at the client level. ***, **, and * denote statistical significance at the 1%, 5%, and 10% levels, respectively.

	Misselling: Sales ratio of low-return WMPs	
	PSM 1:1 (1)	PSM 1:3 (2)
Enlarged group $\times$ Post-Nov2019	0.134** (0.055)	0.083** (0.042)
Controls	Yes	Yes
Client-advisor FE	Yes	Yes
Year-month FE	Yes	Yes
Observations	2,957	13,227
Adjusted R-squared	0.782	0.733

Table B10. **Peer pressure and misselling, active unadvised clients**

This table presents a placebo test of peer pressure effects on misselling, focusing on unadvised clients. The original full sample includes 14,059 random clients not assigned a financial advisor in *The Bank's* system. To maintain comparability, the regressions focus on active client-months, excluding periods with no WMP transactions for three or more consecutive months. All variables are identically defined as in Table 3. In all regressions, client-advisor fixed effects and year-month fixed effects are included. Standard errors are clustered at the client level. ***, **, and * denote statistical significance at the 1%, 5%, and 10% levels, respectively.

	Misselling: Low-return WMPs			Placebo: High-return WMPs		
	Sales dummy (1)	Sales volume (2)	Sales ratio (3)	Sales dummy (4)	Sales volume (5)	Sales ratio (6)
Enlarged group $\times$ Post-Nov2019	0.024 (0.037)	0.290 (0.447)	0.021 (0.032)	-0.014 (0.041)	-0.233 (0.515)	-0.004 (0.020)
Missed quota	Yes	Yes	Yes	Yes	Yes	Yes
Controls	Yes	Yes	Yes	Yes	Yes	Yes
Client-advisor FE	Yes	Yes	Yes	Yes	Yes	Yes
Year-month FE	Yes	Yes	Yes	Yes	Yes	Yes
Observations	14,131	14,131	14,131	14,131	14,131	14,131
Adjusted R-squared	0.677	0.734	0.710	0.757	0.766	0.758

Table B11. **Promotion prospect and misselling, starter-level advisors**

This table presents a placebo test of promotion prospect effects on *misselling*, focusing on starter-level advisors, who are not subject to competitive promotion incentives. The placebo treatment group comprises the top 5% of starter-level advisors, and the post-treatment period begins in January 2020. All variables are identically defined as in Table 4. In all regressions, client-advisor fixed effects and year-month fixed effects are included. Standard errors are clustered at the client level. ***, **, and * denote statistical significance at the 1%, 5%, and 10% levels, respectively.

	Misselling: Low-return WMPs			Placebo: High-return WMPs		
	Sales dummy (1)	Sales volume (2)	Sales ratio (3)	Sales dummy (4)	Sales volume (5)	Sales ratio (6)
Top 5% (start.) $\times$ Post-Jan2020	-0.003 (0.050)	0.070 (0.661)	-0.005 (0.040)	-0.030 (0.032)	-0.280 (0.400)	-0.041 (0.025)
Missed quota	Yes	Yes	Yes	Yes	Yes	Yes
Controls	Yes	Yes	Yes	Yes	Yes	Yes
Client-advisor FE	Yes	Yes	Yes	Yes	Yes	Yes
Year-month FE	Yes	Yes	Yes	Yes	Yes	Yes
Observations	22,518	22,518	22,518	22,518	22,518	22,518
Adjusted R-squared	0.760	0.786	0.719	0.760	0.767	0.678

Table B12. **Bank competition**

This table examines whether local banking competition moderates quota-driven misselling. We construct two measures of local competition. (1) Bank economic competition measures supply-side competition relative to local household financial resources. It is defined as the ratio of the number of commercial banks to the aggregate disposable income of all residents in the district (District population $\times$ Per capita disposable income of the district). Higher values indicate a more saturated market with more banks competing for each unit of local household wealth. (2) Bank spatial competition captures geographic “crowdedness” of banking services relative to local purchasing power. It is calculated as the total number of commercial bank branches divided by the product of the district’s area (in square kilometers) and its per capita disposable income. Other variables and model specifications are identical to those in Table 2. All regressions include client-advisor and year-month fixed effects and the full set of baseline controls. Standard errors are clustered at the client level. ***, **, and * denote statistical significance at the 1%, 5%, and 10% levels, respectively.

	Sales ratio			
	Low-return WMPs		High-return WMPs	
	(1)	(2)	(3)	(4)
Missed quota	0.114** (0.052)	0.050*** (0.017)	-0.018 (0.029)	-0.005 (0.009)
Missed quota $\times$ Economic comp.	-0.231* (0.134)		0.036 (0.076)	
Missed quota $\times$ Spatial comp.		-349.130* (210.992)		-0.737 (126.049)
Client-advisor FE	Yes	Yes	Yes	Yes
Year-month FE	Yes	Yes	Yes	Yes
Controls	Yes	Yes	Yes	Yes
Observations	66,198	66,198	66,198	66,198
Adjusted R^2	0.724	0.724	0.684	0.684

Table B13. Summary statistics by experienced and novice clients/advisors

This table reports the summary statistics of sales ratio by client/advisor experience. A client is classified as *experienced* if they have held an account at *The Bank* for more than 86.9 years (top quantile), and as *novice* otherwise. Panel B examines advisor experience, with advisors classified as *experienced* if they have worked in the financial industry for more than 11.7 years (top quantile), and as *novice* otherwise.

Panel A. By client investment experience					
	N	Mean	Std. Dev.	Min	Max
Experienced clients					
Missed quota	18,199	0.15	0.36	0	1
Sales volume – all WMPs (in 1,000 RMB)	18,199	996.21	3,818.88	0	66,441.00
Sales ratio – low-return WMPs	18,199	0.37	0.42	0	1
Sales ratio – high-return WMPs	18,199	0.08	0.20	0	1
Novice clients					
Missed quota	53,523	0.14	0.35	0	1
Sales volume – all WMPs (in 1,000 RMB)	53,523	672.67	3,743.46	0	228,064.98
Sales ratio – low-return WMPs	53,523	0.36	0.42	0	1
Sales ratio – high-return WMPs	53,523	0.08	0.22	0	1
Panel B. By advisor working experience					
	N	Mean	Std. Dev.	Min	Max
Experienced advisors					
Missed quota	18,752	0.21	0.41	0	1
Sales volume – all WMPs (in 1,000 RMB)	18,752	878.12	3,169.82	0	62,658.93
Sales ratio – low-return WMPs	18,752	0.39	0.42	0	1
Sales ratio – high-return WMPs	18,752	0.08	0.21	0	1
Novice advisors					
Missed quota	52,970	0.12	0.33	0	1
Sales volume – all WMPs (in 1,000 RMB)	52,970	711.10	3,953.84	0	228,064.98
Sales ratio – low-return WMPs	52,970	0.35	0.42	0	1
Sales ratio – high-return WMPs	52,970	0.08	0.22	0	1

Table B14. Summary statistics by client wealth

This table reports the summary statistics of client wealth and sales ratio by client wealth level. Clients are categorized based on their average daily asset holdings in *The Bank* in the previous month: *premium clients* hold more than RMB 500,000, while *private banking clients* hold more than RMB 6 million.

	N	Mean	Std. Dev.	Min	p50	Max
Regular clients						
Client wealth (in 1,000 RMB)	49,766	134.99	146.87	0	86.66	500.00
Missed quota	49,766	0.15	0.36	0	0	1
Sales volume – all WMPs (in 1,000 RMB)	49,766	213.34	1,443.32	0	0	65,370.00
Sales ratio – low-return WMPs	49,766	0.29	0.41	0	0	1
Sales ratio – high-return WMPs	49,766	0.06	0.20	0	0	1
Premium clients						
Client wealth (in 1,000 RMB)	21,426	1,316.75	1,015.79	500.00	951.13	5,997.82
Missed quota	21,426	0.13	0.33	0	0	1
Sales volume – all WMPs (in 1,000 RMB)	21,426	1,634.08	4,269.27	0	739.00	193,284.98
Sales ratio – low-return WMPs	21,426	0.53	0.39	0	0.59	1
Sales ratio – high-return WMPs	21,426	0.13	0.24	0	0	1
Private banking clients						
Client wealth (in 1,000 RMB)	530	8,881.82	3,102.08	6,000.29	7,982.63	27,819.52
Missed quota	530	0.19	0.39	0	0	1
Sales volume – all WMPs (in 1,000 RMB)	530	16,046.43	26,360.41	0	8,500.00	228,064.98
Sales ratio – low-return WMPs	530	0.67	0.38	0	0.83	1
Sales ratio – high-return WMPs	530	0.08	0.20	0	0	1

Table B15. **Summary statistics by advisor/client gender**

This table reports the summary statistics of sales ratio by client and advisor gender.

Panel A. By client gender	N	Mean	Std. Dev.	Min	p50	Max
Male clients						
Missed quota	31,177	0.13	0.34	0	0	1
Sales volume – all WMPs (in 1,000 RMB)	31,177	748.43	2,782.19	0	80.00	65,370.00
Sales ratio – low-return WMPs	31,177	0.36	0.42	0	0	1
Sales ratio – high-return WMPs	31,177	0.08	0.21	0	0	1
Female clients						
Missed quota	39,505	0.15	0.36	0	0	1
Sales volume – all WMPs (in 1,000 RMB)	39,505	765.86	4,424.94	0	70.00	228,064.98
Sales ratio – low-return WMPs	39,505	0.36	0.42	0	0	1
Sales ratio – high-return WMPs	39,505	0.08	0.22	0	0	1
Panel B. By advisor gender	N	Mean	Std. Dev.	Min	Median	Max
Male advisor						
Missed quota	9,456	0.25	0.43	0	0	1
Sales volume – all WMPs (in 1,000 RMB)	9,456	703.09	3,007.06	0	56.00	59,088.00
Sales ratio – low-return WMPs	9,456	0.35	0.42	0	0	1
Sales ratio – high-return WMPs	9,456	0.07	0.20	0	0	1
Female advisor						
Missed quota	62,266	0.13	0.33	0	0	1
Sales volume – all WMPs (in 1,000 RMB)	62,266	762.61	3,867.48	0	80.00	228,064.98
Sales ratio – low-return WMPs	62,266	0.36	0.42	0	0	1
Sales ratio – high-return WMPs	62,266	0.08	0.22	0	0	1

Table B16. **Gender**

This table examines how the impact of quota pressure on misselling varies by client gender (Panel A), advisor gender (Panel B). In each panel, we report results for (i) misselling, measured by the sales ratio of low-return WMPs, defined as low-return WMP sales divided by total WMP sales in a given client-month-and (ii) the sales ratio of high-return WMPs, which serves as a placebo outcome. The key independent variable is *Missed quota*, an indicator equal to one if adviser i failed to meet the sales target in month $t - 1$. All regressions include the same control variables as in Table 2. Client-advisor and year-month fixed effects are included. Standard errors are clustered at the client level. ***, **, and * denote statistical significance at the 1%, 5%, and 10% levels, respectively.

	Misselling: Low-return WMPs Sales ratio (1)	Placebo: High-return WMPs Sales ratio (2)
Panel A. Client gender		
Missed quota	0.023*** (0.009)	-0.012** (0.005)
Missed quota $\times$ Male client	0.011 (0.013)	0.018** (0.008)
Controls	Yes	Yes
Client-advisor FE	Yes	Yes
Year-month FE	Yes	Yes
Observations	65,238	65,238
Adjusted R-squared	0.724	0.683
Panel B. Advisor gender		
Missed quota	0.037*** (0.010)	-0.004 (0.004)
Missed quota $\times$ Male advisor	-0.030** (0.014)	-0.003 (0.006)
Controls	Yes	Yes
Client-advisor FE	Yes	Yes
Year-month FE	Yes	Yes
Observations	66,198	66,198
Adjusted R-squared	0.724	0.684

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